AXIS

Growing Capital Sustainably

April 2023



Q1

Quarterly Insights

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Macroeconomic Outlook

Global



Macroeconomic Outlook



Perception matters! Silicon Valley Banks and Credit Suisse learnt it at their expense this quarter. The banking tremor which threatened to rattle financial markets was a timely reminder that these markets are not only driven by greed by also by fear. Until regulatory bodies intervened and ringfenced any potential spill over from this latest banking crisis, the fear factor was back on the radar. At least temporarily. The MSCI World Index finished 7.3% higher while the Bloomberg Aggregate Bond Index returned 3.0% in US Dollar terms over the quarter.

Q1'23 mirrored the last quarter of 2022 in many aspects. Inflation continued to trend lower across most of the world. In the United States, headline inflation for February fell to 6.0% from 7.1% in November last year. However, headline inflation continues to be sticky – coming out at 5.6% in February from 6.0% in November 20222. Yields across the curve fell further. The US2YR came down by 40bps to 4.0% while the US10YR fell by 41bps to 3.5%. Volatility across the bond markets was rife with yields falling by the most on record in a day in the midst of the collapse of Silicon Valley Bank. Indeed, just before the banking woes started, the US 2YR yield was trading above the psychological key 5.0% threshold. A few days later, it was trading below 4.0%...

The US Federal Reserve hiked by 50bps over the quarter to take the key interest rate to 5.0%. Financial markets are now pricing in a much earlier pivot from the central bank on account of the anticipated credit crunch at banking level. Fed President, Powell, referred to the likely curtailing of credit as a quasi-interest rate hike when explaining why the interest rate was increased by only 25bps in March. In line with falling yields, safe havens also performed strongly with Gold posting another stellar month. The price of the precious metal rose by 8.0% over the quarter. Crypto currencies staged a semblant of renaissance with Bitcoin rallying by 71.7% as concerns about the traditional banking system spurred investors towards its challenger.

Growth stocks were back in favour as economic activity firmed up and job markets remained resilient. The 472,000 jobs created in January in the United States convinced investors that a hard landing can be avoided. The NASDAQ returned an eye-catching 20.8% while the more value-driven Dow Jones was up only 0.9%. The information technology and communication sectors were the major gainers on the MSCI All Country World Index while defensive sectors like utilities and healthcare were among the laggards.

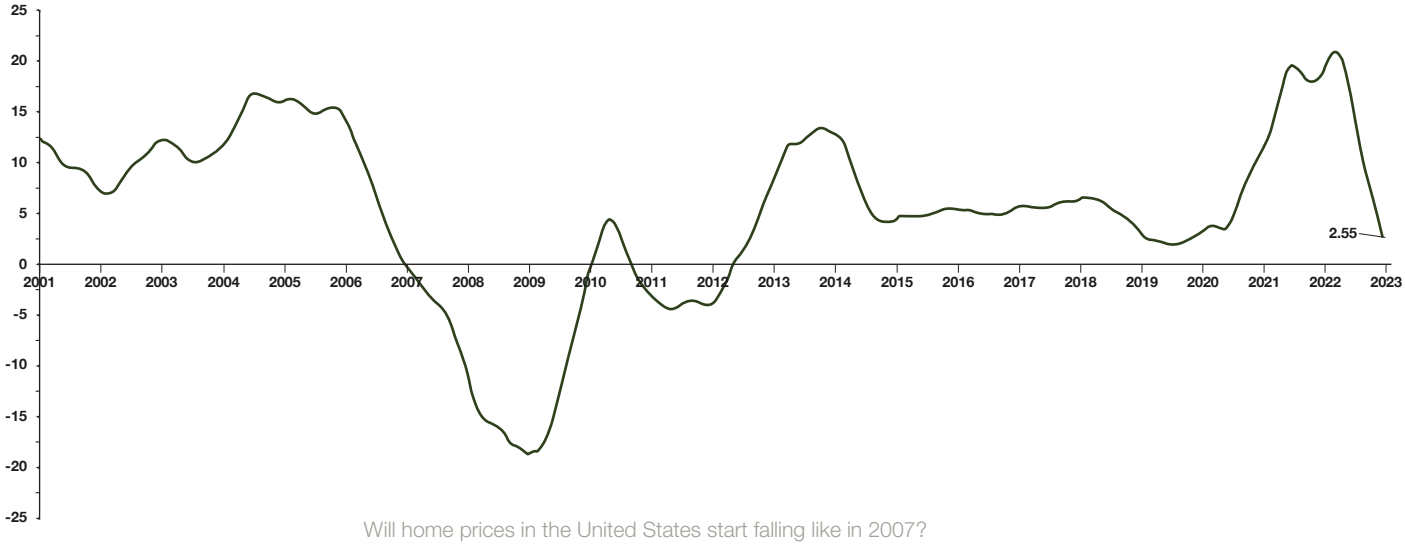
In Europe, equities rallied hard and outperformed the rest of the world as the positive momentum which resulted from the avoidance of a major energy crisis in the wake of the Russian invasion of Ukraine continued. The Eurostoxx 50 Index rallied 14.2% over Q1'23 while inflationary pressures receded further. In Emerging Market space, Indian equities were under pressure in the midst of the release of the Hindenburg report on Adani group of companies. The NIFTY fell by 4.1%. In China, the economic momentum accelerated over Q1'23 as anticipated after the reopening of the economy. Nevertheless, optimism vis-à-vis the world's second largest economy abated somewhat as geopolitical concerns resurfaced.

On the currency front, the US Dollar retraced further as yield differentials of the greenback versus other hard currencies, especially the Euro, narrowed. The EURUSD pair rose to 1.08, representing an appreciation of 1.3% over the quarter. The Brazilian Real was the outperformer with an appreciation of 4.2% as the Brazilian central bank maintains its disciplined approach to curb off inflation.

Macroeconomic Outlook

Global

S&P CoreLogic Case-Shiller 20-City Composite City Home Price NSA Index YOY% (USD) - Last Price



Will home prices in the United States start falling like in 2007?

Source: Bloomberg

Bear markets witness the biggest rallies. We are of the opinion that the rally in equities, especially tech stocks, over Q1'23 is one such rally. The 20.8% jump in the NASDAQ over the last three months should be contextualised in an environment where the NASDAQ is still some 18.3% lower in March'23 than it was at the end of 2021. The recent rally has the hallmark of a dead cat bounce – that is a short-lived and sharp rally that occurs within a secular downtrend.

With this in mind, we aim to broadly maintain our cautious approach to investing. While this strategy lagged in Q1'23, we remain confident that it will deliver robust returns for the rest of the year, as it did in 2022. The outlook for the global economy is worsening and several indicators are pointing towards a significant erosion of household saving stockpiles. We also expect households to feel poorer as the result of the inverse wealth effect. The housing market has come under pressure in recent months as higher financing costs have deterred many potential buyers from entering the housing market. In the US, housing prices are stagnant, and should they start falling, we expect households to further cut back on spending as the inverse wealth effect takes hold.

The collapse of the Silicon Valley Bank and the government brokered takeover of Credit Suisse by UBS are concrete proof that tightening of monetary policy by central banks is having the desired effect – that is restricting economic activities and tightening financial conditions such that the global economy cools down. With this in mind, we should expect other similar episodes to occur in the near future. The hope being that the global economy slows but does not break…

Asset Class Performance

Equities (in local currency)	Value	Q1'23	6 Months	12 Months
MSCI ALL COUNTRY WORLD INDEX	341	7.31%	17.78%	-7.44%
S&P 500	8,791	7.50%	7.56%	-7.73%
NASDAQ	15,694	20.77%	-0.04%	-10.35%
DOW JONES INDUSTRIAL AVERAGE	80,470	0.93%	16.01%	-1.98%
EUROSTOXX 50	1,097	7.45%	11.23%	-4.17%
FTSE 100	7,632	3.55%	8.68%	5.23%
DAX	15,629	12.25%	14.93%	8.42%
CAC 40	21,543	13.39%	12.57%	13.40%
SHANGHAI COMP	3,444	5.94%	2.32%	3.35%
JSE AFRICA ALSI	13,045	5.17%	15.16%	4.90%
SEMDEX	1,959	-4.09%	-1.54%	-7.86%

Currencies*	Rate	Q1'23	6 Months	12 Months
EUR vs USD	1.08	1.25%	10.58%	-2.06%
GBP vs USD	1.23	2.10%	10.45%	-6.10%
JPY vs USD	133	-1.31%	8.94%	-8.40%
AUD vs USD	0.67	-1.88%	4.45%	-10.65%
BRL vs USD	5.06	4.39%	6.87%	-6.31%
ZAR vs USD	17.8	-4.26%	1.63%	-17.92%
CNY vs USD	6.87	0.34%	3.49%	-7.77%
MUR vs USD	45.8	-3.31%	-0.21%	-1.82%
MUR vs EUR	49.9	-5.10%	-10.02%	0.07%
MUR vs GBP	56.7	-5.64%	-9.82%	4.41%
MUR vs ZAR	2.57	1.62%	-1.68%	16.45%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

Fixed Income	2Y (%)	Q1'23	10Y (%)	Q1'23
United States	4.03	-0.40	3.47	-0.41
Germany	2.68	-0.08	2.29	-0.28
United Kingdom	3.44	-0.13	3.49	-0.18
Italy	3.18	-0.14	4.10	-0.62
France	2.81	-0.10	2.79	-0.32
Australia	2.95	-0.45	3.30	-0.75
China	2.38	0.04	2.86	0.02
South Africa	7.88	0.11	11.06	0.25
India	7.05	0.09	7.31	-0.02
Mauritius	4.83	-0.17	5.35	-0.65

Commodities (in US Dollars)	Value	Q1'23	6 Months	12 Months
Commodity Index	105.5	-6.47%	-5.36%	-15.19%
Crude Oil WTI	79.8	-7.15%	-9.31%	-26.08%
Brent Oil	75.7	-5.72%	-4.81%	-24.54%
Gold (ounce)	1969	7.96%	18.59%	1.64%
Silver	24.1	0.60%	26.65%	-2.80%
Palladium	995	-7.36%	15.18%	0.91%
Copper	409	7.45%	19.99%	-13.82%
Iron Ore	958	11.79%	25.72%	1.32%
Wheat	692	-12.59%	-24.88%	-31.19%
Sugar	22.3	11.03%	20.79%	14.16%

Macroeconomic Outlook

Kenya

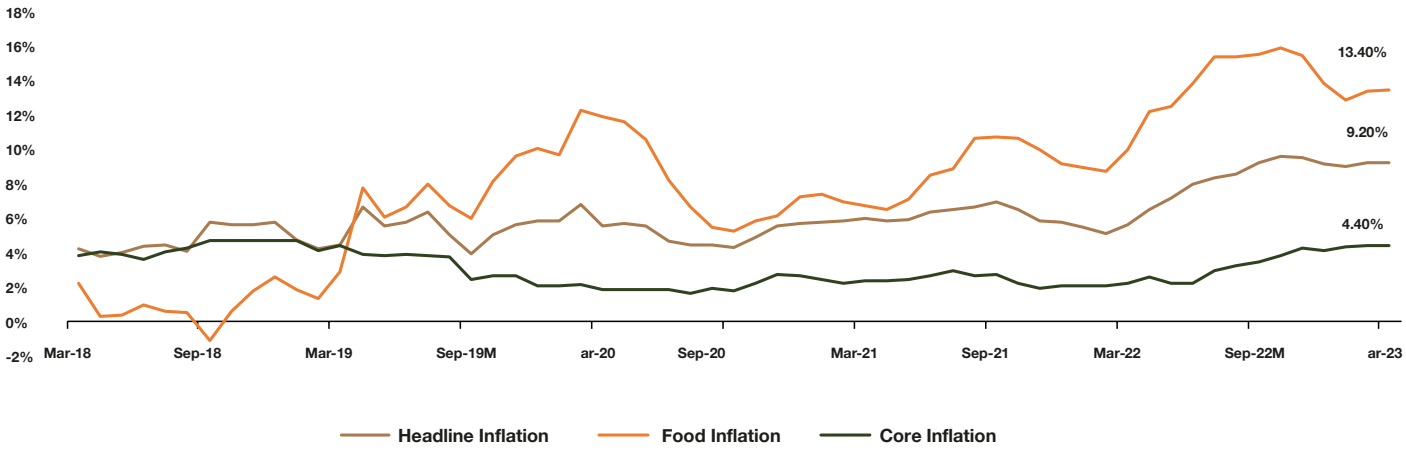


Macroeconomic Outlook

Kenya

Inflation To Remain Elevated

Kenya's 5-Year Historical Inflation Figures



Challenges from 2022 spilled over to the first quarter leading to a further rise in food, fuel, and utility indices. Headline inflation in Q1'2023 averaged 9.13% compared to 5.34% over a similar period in 2022. The February inflation print increased to 9.20% from 9.00% in January but remained constant in March at 9.20%. The non-food non-fuel inflation has also increased to 4.40% from 4.00% at the close of 2022. We expect the onset of the current short rains to have a positive impact on food production easing the prices. However, the continued cost of other farm inputs could weigh down on any gains made. The increase in electricity tariffs with effect from the beginning of April is likely to have a wider base effect on household utilities and cost of production for manufacturers which is likely to be passed down to consumers. The heightened rate of inflation saw the Monetary Policy Committee raise the Central Bank Rate by 75bps to 9.50%, during a meeting, held in March in an effort to curb inflation. We remain concerned with the continuous increase in inflation and expect it to continue above CBK's upper target of 7.50% in Q2'23 but to gradually move back to the CBK target range thereafter.

Macroeconomic Outlook

Kenya

Business Environment Remains Challenged

Following an improvement in business conditions in Q4'22, we observed a decline in business activity as recorded by the Purchasing Manager's Index that averaged 49.30 in Q1'23 from 50.90 in Q4'22. We expect the PMI to remain within the 50-point threshold in the short-term, but to gradually improve in the long term. Near-term concerns are driven by the dollar shortage challenges experienced in Kenya, local currency depreciation, global inflationary pressures, and heightened local political risks.

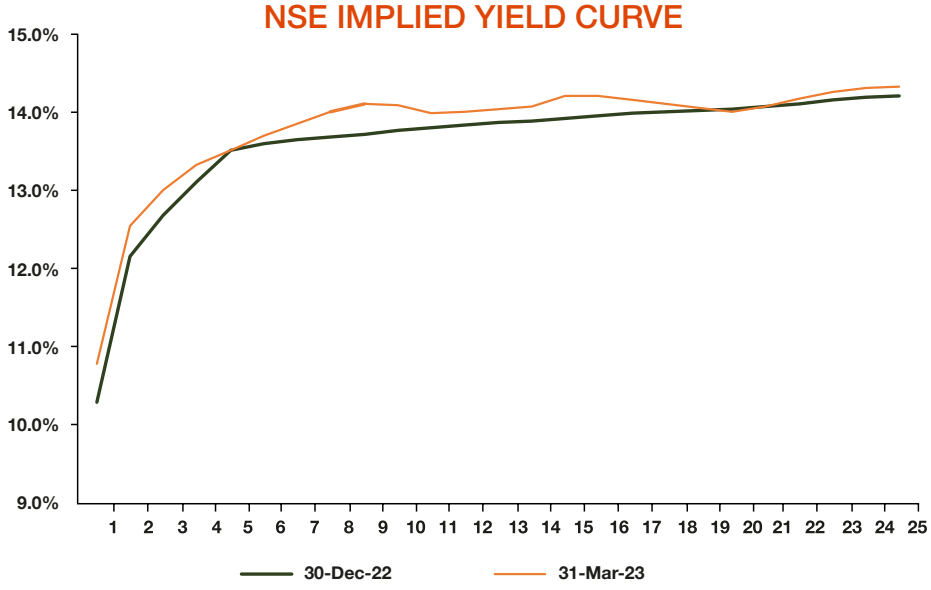
The yield curve on government securities steepened, during the period as investors sought higher returns in the face of increased uncertainty in the local and global economies. Notably, we observed a continued increase in Treasury bill subscriptions, specifically the 91-day paper, which has been a preference for investors looking to hedge against duration and interest rate risks. We also observed a decline in Treasury bond subscriptions as investors continue to take a short-term approach in the market. We expect the yield curve to experience upward pressure across medium and long-term tenors, with a slight easing in the short-term, as investors seek higher premiums on prevailing high inflation and government debt sustainability questions.

Local Currency to Continue Struggling

The shilling further depreciated by 7.26% against the US Dollar in Q1'2023 to close at KES 132.33 from KES 123.37 at the end of Q4'2022. This is attributable to the strengthening of the dollar against frontier currencies, the rise in global commodity prices leading to a higher dollar demand for importers who also reported an acute dollar shortage, and the reduction of dollar receipts from agricultural produce. Foreign exchange reserves dipped in Q1'23 averaging USD 6,890 equivalent to 3.85 months of import cover which is below CBK's statutory requirement of at least 4 months of import cover. This is on the back of increased dollar outflows in debt servicing.

We anticipate that the shilling will continue the losing streak against the dollar having lost 9.04% in 2022. further foreign debt repayments will weaken the forex reserves coupled with the continued strengthening of the dollar against other major global currencies. Additionally, dividend repatriation in Q2'23 in the equities market will further increase dollar demand. The inflow of dollar investments through FDIs, NSE Market, and other capital inflows will be a key source of dollar supply helping KES sustain resistance.

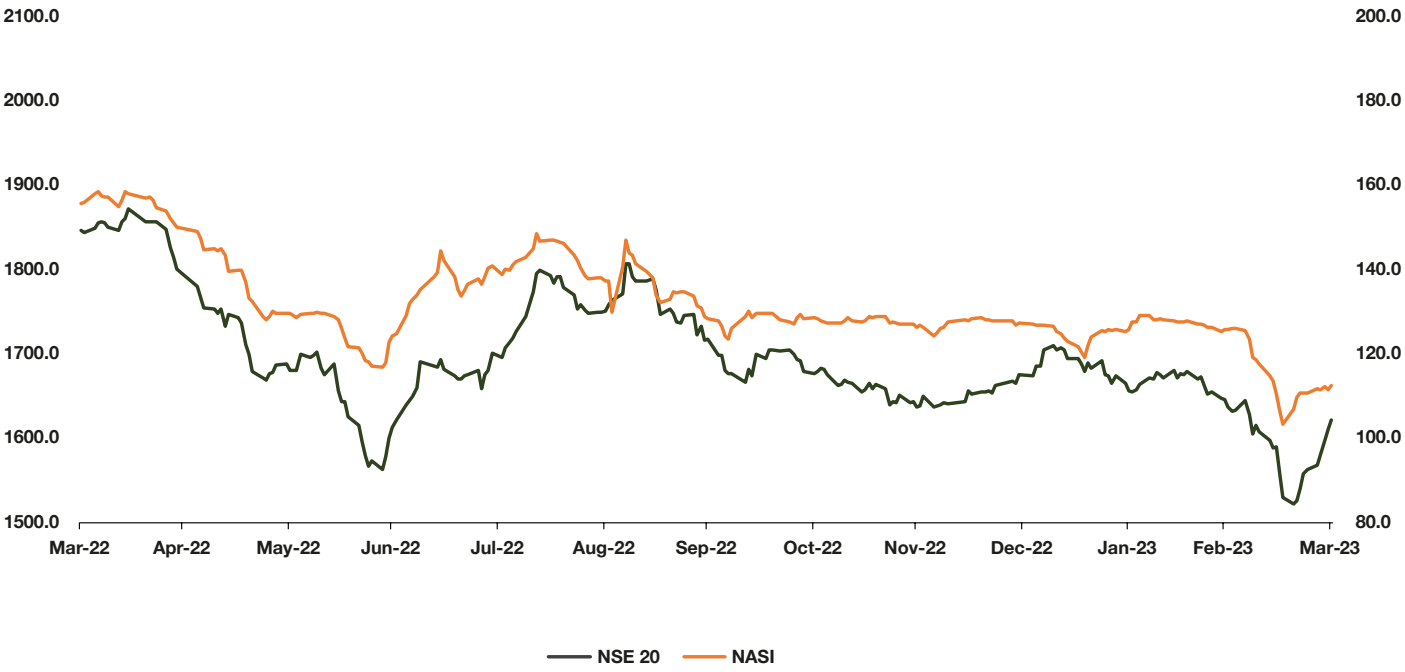
NSE IMPLIED YIELD CURVE



Macroeconomic Outlook

Kenya

NSE INDICES PERFORMANCE



Equities

Activity in the equities market in Q1'2023 improved with the Equity turnover increasing by 31.30% to KES 22.05Bn from KES 16.80Bn in the preceding quarter. Benchmark indices recorded losses with the NASI and NSE-20 declining 4.42% and 1.26%, respectively. The bourse's market capitalization declined by 4.39%. The biggest counters by market capitalization: Safaricom, Equity, EABL, KCB, and COOP Bank experienced the largest foreign participant sell-offs. We expect further foreign investor selloffs in Q2'2023 driven by continued negative investor sentiment on emerging and frontier markets as well as a negative local currency outlook. Hiking of benchmark rates in developed markets has made returns more attractive back home and thus likely to drive further exits.

During the Quarter, listed commercial banks released their FY'22 financial results signaling a strong performance in the sector. The majority of the lenders recorded a significant increase in Non-Funded Income compared to Net Interest Income mainly driven by increased income from forex trading as well fees and commissions on loans and advances. The reported dollar shortage in the forex market created market inefficiencies for the lenders, as seen by the significant growth of forex trading income. With regard to the strong performance, most banks declared dividends leading to increased positive sentiment among investors as banking stocks such as ABSA, KCB, Equity, and NCBA provide huge upside potential.

Quarterly Kenyan Equity Performance

Equities (in local currency)	Value	Market Cap.(Mn)	Q1'23	6 Months	12 Months
ABSA Group	12.80	69,524	4.1%	11.8%	8.0%
Bamburi Cement	28.05	10,181	-11.0%	-17.7%	-26.2%
British American Tobacco	463.75	46,375	0.8%	5.4%	5.0%
Bank of Kigali	31.80	28,517	1.0%	-2.9%	9.7%
Britam Holdings	4.65	11,734	-10.6%	-22.0%	-38.0%
Carbacid Investments	12.60	3,211	5.0%	9.6%	14.5%
CIC Insurance Group	1.96	5,126	0.5%	-2.5%	-11.3%
Co-operative Bank	13.15	77,153	6.9%	11.0%	1.5%
Crown Paints	38.90	5,538	-7.0%	-0.6%	27.5%
Centum Investment	8.96	5,962	7.2%	-5.3%	-36.5%
Diamond Trust Bank	51.25	14,330	2.5%	2.5%	-13.9%
East African Breweries	170.00	134,432	1.5%	19.7%	3.0%
Equity Group	45.50	171,702	2.2%	-2.0%	-13.7%
STANLIB FAHARI I-REIT	6.52	1,180	0.0%	-8.2%	4.2%
HF Group	3.81	1,465	19.4%	12.7%	-2.3%
I&M Holdings	20.85	34,478	22.6%	22.6%	-1.2%
Jubilee Holdings	177.00	12,828	-10.9%	-27.8%	-44.1%
KCB Group	35.50	114,078	-6.8%	-14.4%	-21.9%
KenGen	2.20	14,508	-31.7%	-37.1%	-47.5%
Kenya Re Insurance	1.89	5,292	3.3%	-4.5%	-17.8%
Kenya Power	1.54	3,005	-1.3%	-18.1%	-12.0%
Kakuzi	264.00	5,174	-31.4%	-33.1%	-31.4%
Liberty Holdings	4.81	2,577	-14.1%	-17.1%	-31.3%
Longhorn Publishers	2.61	711	-13.0%	-34.8%	-34.8%
Nairobi Business Ventures	3.68	4,982	-2.4%	13.9%	-39.3%
NCBA Group	36.70	60,464	-6.7%	21.1%	45.6%
Nation Media Group	15.85	3,016	-0.6%	-6.5%	-14.1%
Nairobi Securities Exchange	6.24	1,619	-8.0%	-15.4%	-22.0%
Sasini	25.75	5,872	14.7%	8.4%	37.7%
Stanbic Holdings	110.00	43,485	7.8%	10.0%	26.1%
WPP Scangroup	2.88	1,245	-4.3%	-16.8%	-30.4%
Standard Chartered Bank	170.00	64,236	19.1%	24.3%	32.6%
Safaricom	18.10	725,184	-25.1%	-27.5%	-52.2%
Standard Group	8.52	696	-18.5%	-32.4%	-37.1%
Sanlam	8.22	1,184	-14.2%	-17.3%	-28.8%
Total Kenya	21.50	3,764	-9.9%	-8.7%	-14.0%
TPS Eastern Africa	13.95	2,541	4.5%	7.3%	-8.5%
Umeme	11.65	18,918	57.0%	57.4%	72.8%
Unga Group	18.60	1,408	-41.9%	-38.0%	-32.7%

Macroeconomic Outlook

Mauritius



Macroeconomic Outlook

Mauritius

GDP at market prices in 2022 grew by 8.7%, which is higher than the 7.8% growth estimated in December 2022. The main contributor to this growth is undoubtedly the Accommodation and Food Service activities, which recorded a steep growth of 200.8% in 2022 compared to the previous year, which was impacted by the COVID-19 lockdown period and travel restrictions. The Manufacturing and Financial and Insurance activities are the other two major contributors to this performance.

GVA at basic prices expanded by 9.7% in 2022, which is higher than the 4.0% growth in 2021. Accommodation and Food Service activities contributed 5.1% to this growth while Manufacturing and Financial and Insurance activities contributed 1,4% and 0.6% respectively.

Based on the above trends and latest information available on main public investment projects, including those announced in the last budget, and taking into consideration the target set by the authority to achieve pre-pandemic figures in the tourism sector, both GDP at market prices and GVA at basic prices are forecasted to grow by 5.0% in 2023 by Statistics Mauritius. This growth will mark a return to pre-pandemic level. Two of the challenging assumption to achieve this growth are that Construction needs grow at a higher rate of 5.2% compared to 1.3% in 2022 and Accommodation and Food Service activities will expand by 25.7%, based on expected tourist arrivals of around 1,300,000 in 2023 compared to 997,290 in 2022.

It is also interesting to note that consumption expenditure of households and general government, the major component of expenditure on GDP, is expected to increase by 9.0% to attain Rs 535.7 billion in 2023 from Rs 491.5 billion in 2022. This means that final consumption expenditure would grow by 2.6% against 3.8% in 2022. Final consumption expenditure of households would grow by 2.4% compared to 3.3% in 2022, while that of general government would grow by 3.5% after a growth of 6.1% in 2022.



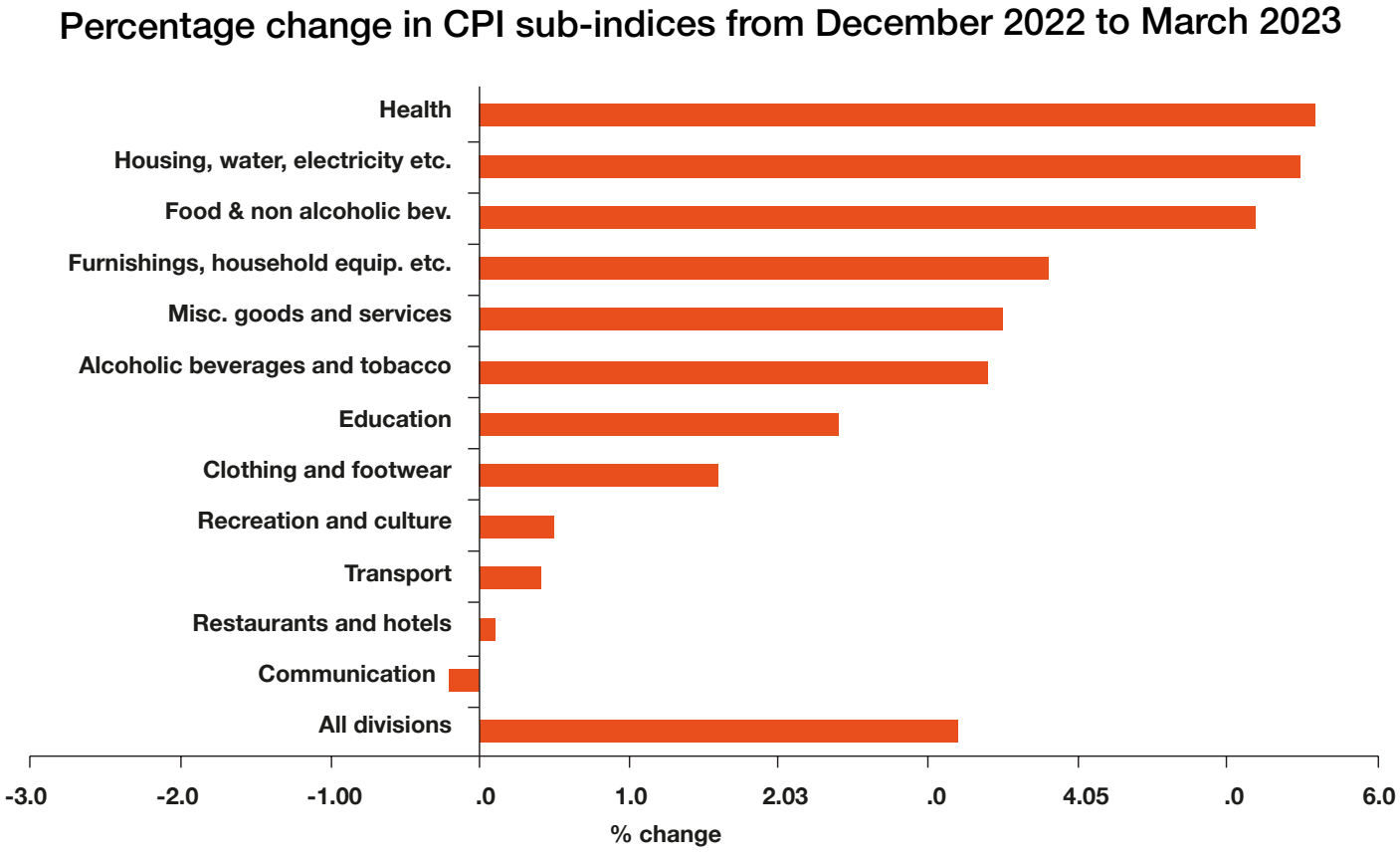
Macroeconomic Outlook

Mauritius

Inflation

The Consumer Price Index was up 4.0 points (or +3.2%) to reach 131.1 in March 2023, the same stood at 127.1 in December 2022. Year-on-year inflation climbed by 12.2% in December 2022, compared to 6.8% in December 2021. The headline inflation rate for the twelve months ending March 2023 worked out to 11.1%, compared to 6.0% for the twelve months ending March 2022. The main contributors to the 4.0 increase were higher prices of vegetables (+1.3 points), higher electricity rates (+0.5 point) among others.

Movement of CPI Sub-Indices



Source: Statistics Mauritius

Macroeconomic Outlook

Mauritius

Monetary

During the first quarter 2023, the Bank of Mauritius intervened in the domestic foreign exchange market only three times, selling a total of USD 30M. Between 17th March 2023 and 31st March 2023. The first intervention was made at Rs 46.50 and the last one at Rs 45.50. Prior to the Bank of Mauritius intervention, the USD had peaked at an all-time high of Rs 47.93 on 16th March 2023.

The Monetary Policy Committee (MPC) of the Bank of Mauritius did not meet during the first quarter 2023.

The 91-day Government of Mauritius treasury bills' weighted average yield was stable at 4.26%. Similarly, the 182-day and 364-day Government of Mauritius treasury bills weighted average yield was at 4.60% and 4.70% respectively.

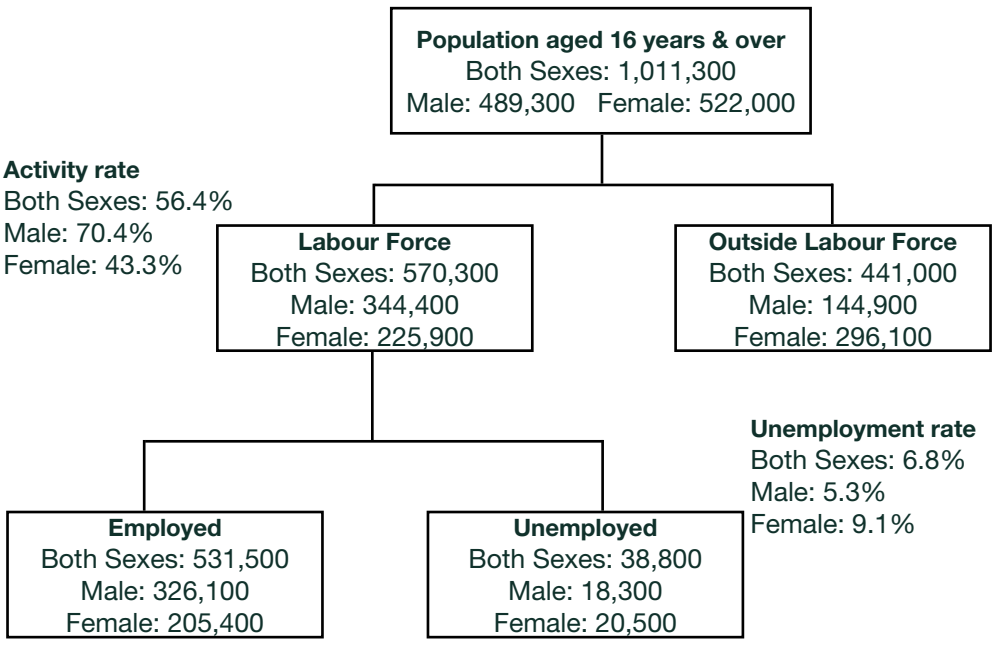
The weighted average yield of the 3-year Government of Mauritius treasury notes was down from 5.17% to 4.76% in Q1 2023. The 5-year and 7-year Government of Mauritius bonds weighted average yield were also stable at 4.85% and 5.07% respectively.

The Mauritian Rupee appreciated by 3.7% against the US Dollar while it lost 7.00% and 7.1% against the Euro and Pound Sterling respectively.

Unemployment

In Q4 2022, there were 554,800 employed Mauritian individuals, the same as in Q4 2021. The unemployment rate for Q4 2022 was estimated at 6.8%, compared to 8.1% in Q4 2021. The labor force had increased by 15,500 compared to the corresponding quarter of 2021.

The Labour Market, 4th Quarter 2022



Source: Statistics Mauritius

There are still several uncertainties affecting the Mauritian economy, including a high inflation rate, a weak currency, and a labor shortage in various sectors, such as the hotel industry. The persistent high inflation has had a significant impact on the standard of living for Mauritian citizens, causing it to drop below pre-pandemic levels. Although the increase in commodity prices may be one contributing factor, the depreciation of the Mauritian rupee has played a significant role in this development. Another major challenge that requires immediate attention is the lack of workers in various sectors, particularly the hotel and construction industries. Addressing the movement of skilled workers to more attractive jurisdictions is also a crucial issue that needs to be tackled.

Macroeconomic Outlook Mauritius

Market Update (January – March)

During the first quarter of the year, Semdex, the stock market index of Mauritius, experienced one of its worst declines in recent years, falling by 4.67%. Despite this, foreigners were net buyers during the quarter, purchasing shares worth Rs 109M. The activity of foreign investors was mainly driven by MCBG, as they were net buyers of shares worth Rs 137M. While many companies posted strong financial performance during the quarter, following the release of their December 2022 quarterly results, this was not reflected in an increase in share prices.

Index	YTD	1Y	3Y	5Y	10Y
SEMDEX	-4.67%	-10.88%	24.71%	-14.36%	1.85%
SEM-10	-4.40%	-11.70%	19.77%	-18.18%	-6.92%

During the quarter, IBL, the second largest company in terms of market cap in Mauritius, experienced a significant decline of 14.1%, contributing to 42.4% of the total decline. This is despite the company posting its most profitable second quarter (Dec 2022) over the past 7 financial years. Foreigners were net buyers on IBL. Similarly, Ascencia, which had record footfall during the quarter ending December 2022, also suffered a decline. Despite the decline in share prices, most of the companies posted highly profitable quarters, with the standout being the hospitality sector (LUX, SUN, and NMH). The arrival of tourists and the depreciation of the rupee against the EUR, since most of our tourists are from Europe, benefitted these companies.Foreigners were net buyers during the quarter, with MCBG being the primary driver of foreign activity as foreigners were net buyers by Rs 137M. However, Semdex fell by 4.67%, marking one of its worst declines in recent years. Even though companies posted strong financial performances during the quarter, this was not accompanied by an increase in share prices. Notably, with the exception of MUA, Alteo, and Terra (which has not yet published its FY results), most of the companies recorded a highly profitable quarter.

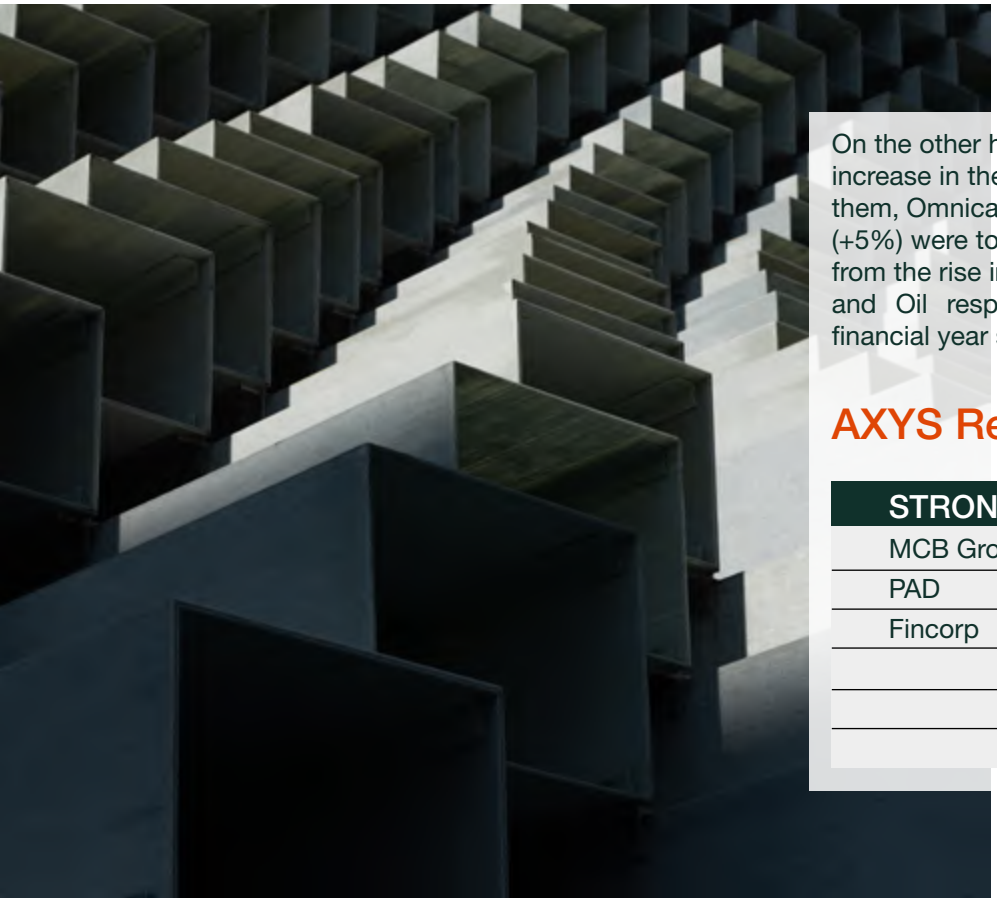
Detractors	Top Detractors	% Contribution	Gain/(Fall)
1	IBL	42.4%	-14.1%
2	ASCE	12.8%	-12.3%
3	ENL	12.7%	-16.5%
4	MUA	6.2%	-11.5%
5	SUN	5.0%	-9.8%
6	TERRA	4.8%	-9.3%
7	LUX	4.7%	-7.8%
8	NMHL	4.4%	-10.3%
9	ALTEO	4.1%	-15.0%
10	LOTO	2.9%	-12.7%

Macroeconomic Outlook

Mauritius

On the other hand, a few stocks managed to record an increase in their share prices during the quarter. Among them, Omnicane (+22%), Vivo Energy (+7%) and SBMH (+5%) were top contributors. The former two benefitted from the rise in the respective commodity prices (Sugar and Oil respectively) while SBMH posted its best financial year since 2017.

Detractors	Contributors to Increase	% Contribution	Gain/(Fall)
1	SBM	5.7%	4.92%
2	VEM	4.8%	7.17%
3	UTDL	3.5%	0.00%
4	OMNI	2.2%	22.09%
5	MCB	0.6%	0.08%
6	INNO	0.4%	3.97%
7	SWAN	0.1%	0.45%
8	HML	0.1%	2.63%



On the other hand, a few stocks managed to record an increase in their share prices during the quarter. Among them, Omnicane (+22%), Vivo Energy (+7%) and SBMH (+5%) were top contributors. The former two benefitted from the rise in the respective commodity prices (Sugar and Oil respectively) while SBMH posted its best financial year since 2017.

AXYS Recommendations

STRONG BUY	ACCUMULATE
MCB Group	Miwa Sugar
PAD	Phoenix Bev
Fincorp	Afreximbank
	CIEL Group
	Alteo
	Medine

Quarterly Local Equity Performance

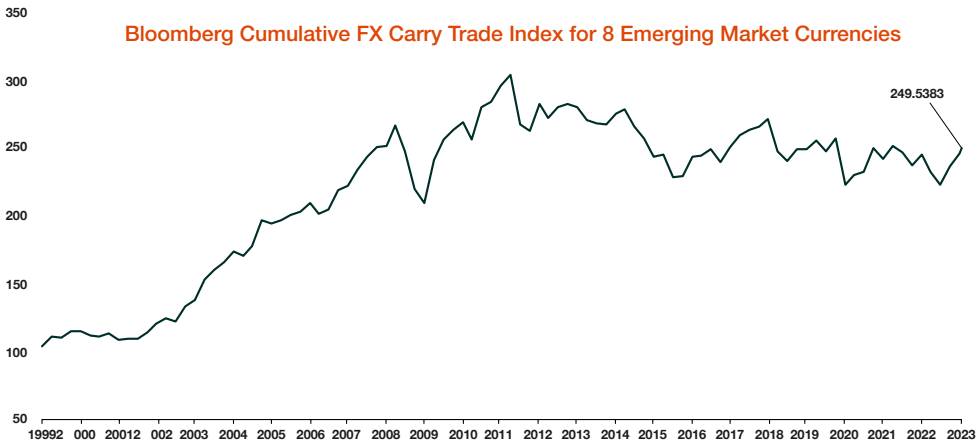
Equities (in local currency)	Value	Market Cap.(Mn)	Q1'23	6 Months	12 Months
Beachcomber Res	8.24	4,524	-10.3%	-13.7%	-2.9%
LUX* Res	51.25	7,027	-7.8%	-10.9%	-13.0%
Sun Res	25.75	5,010	-9.8%	-19.6%	25.0%
Lottotech	7.13	2,424	-12.7%	-7.2%	-13.0%
Auto Systems	93.50	331	-6.9%	10.6%	-17.0%
CIEL	6.70	11,322	-0.3%	-4.9%	-8.4%
Alteo	6.47	10,102	-15.0%	69.1%	35.2%
Medine	55.50	5,828	1.1%	6.4%	-2.0%
Innodis	42.00	1,543	5.6%	-11.3%	-25.4%
Mtius Oil Ref	20.70	689	-5.0%	-8.4%	-12.2%
Phoenix Bevs	600.00	9,868	-2.3%	-10.5%	-11.5%
Vivo Energy Mtius	246.00	7,213	7.2%	16.6%	20.7%
MCB Group	307.41	73,954	0.1%	-0.9%	0.5%
SBM Hldg	4.82	14,652	4.9%	6.6%	-1.4%
CIM Fin Svcs	9.51	6,468	-0.7%	3.7%	6.7%
Fincorp Inv	21.00	2,170	-6.1%	-21.0%	-24.6%
MUA	135.75	6,969	-11.5%	-15.3%	-27.8%
SWAN General	446.75	3,697	0.5%	5.4%	4.1%
Terra	25.43	5,786	-9.3%	-7.7%	-22.1%
IBL	52.00	35,372	-14.1%	-15.8%	-17.8%
Mtius Dev Inv Trust	3.08	1,305	-10.3%	-27.3%	-24.2%
POLICY	4.25	965	0.7%	-23.3%	-41.3%
National Inv Trust	32.00	877	-3.2%	8.1%	-4.4%
Promotion & Dev	100.75	3,926	-2.5%	1.4%	-2.0%
Belle Mare Hldg	27.50	2,161	-7.9%	-7.9%	-13.1%
Dale Capital	1.91	558	-3.1%	-3.1%	-2.1%
Rogers & Co	28.40	7,158	-0.7%	-9.9%	1.3%
Harel Mallac	43.00	484	2.6%	1.3%	-11.4%
Gamma-Civic	43.00	5,730	-4.4%	-11.6%	-11.0%
ENL	26.89	10,085	-16.5%	-18.3%	-14.0%
Utd Basalt Prod	139.00	3,685	-3.6%	-18.8%	-32.6%
Mtius Chem & Fert Ind	10.00	220	-27.8%	-30.7%	-30.0%
Plastic Ind Mtius	46.25	93	-0.2%	4.1%	13.1%
Ascencia	29.40	14,327	-12.3%	-15.2%	-27.5%
BlueLife	0.81	1,126	-21.1%	-30.0%	0.0%
Caudan Dev	0.85	1,700	-21.3%	-23.4%	-36.6%
Utd Docks	71.00	1,196	0.0%	-11.3%	-21.0%
Omnicane	18.05	1,210	22.1%	16.7%	5.5%

Market Insight



Market Insight

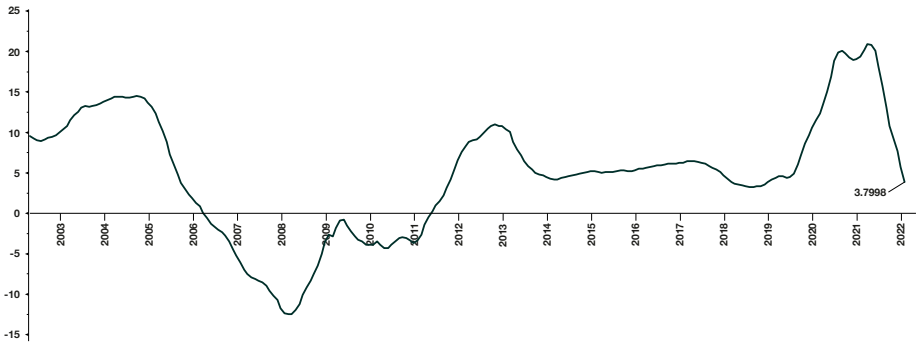
The return of the FX Carry Trade



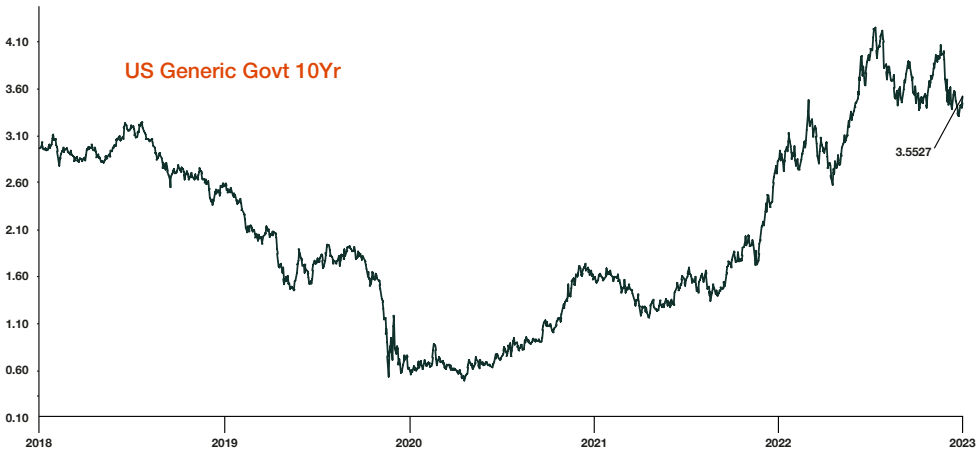
In early 2000s, the US Dollar fell in a structural bear market and this provided the backbone for the heydays of the EM FX carry trade. Over the 5yr period to 2005, the BBG Cumulative FX Carry Trade Index returned 79.6%, an annualised return of 12.4%. The index peaked in 2011 and has been under pressure ever since as low carry rates coupled with a stronger US Dollar curtailed the return prospects. We now expect a return to favour of the strategy as the recent tightening by central banks improve the carry while a cyclical high for the US Dollar is in likely in the making.

Is an Inverse Wealth Effect imminent?

Rising property prices generally make property owners feel wealthier and this tends to have an overall positive impact on the economy through consumption and investment. This phenomenon is referred to as the wealth effect. Conversely, falling property prices tend to have the opposite effect and the process is thus termed as the inverse wealth effect. Looking at the YoY change in house prices in the US, we can see that property prices in the world's biggest economy are on the cusp of falling. Should this materialise, it would further dim the outlook for the world economy.



'Where next for fixed income yields?



Q1'23 witnessed some crazy volatility in the fixed income markets as yields whipsawed all over the place. Early in the quarter, yields climbed further as the resilience in economic data prints convinced traders that additional tightening was necessary to quell inflationary pressures. Then came the collapse of Silicon Valley Bank and the fear of contagion. Traders sought refuge in Treasury markets; yields fell heavily across the curve. However, treasury yields are still in a bull market, and we expect them to rise further should the fear factor dissipate in Q2'23.



Portfolio Performance

Portfolio Performance

- Financial markets experienced a bumpy ride in Q1'23. The Fed hiked by another 50 bps while the collapse of Silicon Valley Bank triggered an element of panic in the banking sector. Despite all this, most markets finished in positive territory as investors were reassured that the overall banking system was sound. Global equities advanced by 7.4% and global bonds gained 3.0%.

- From an equity perspective, a cautious stance was adopted amid the prevailing uncertainty. Defensive securities were bought and an overall underweight positioning was kept throughout most of Q1. However, portfolios benefited from the initial rally through a leveraged long Nasdaq ETF which returned 18.9%.

- Exposure to a high conviction investment holding was increased at an attractive price and returned 3.5%. Increasing exposure to a Chinese ETF and an emerging markets ETF did not pay over the quarter, but we remain confident that they will outperform in 2023.

- A commodity play has been attempted but the broad asset class did not perform to expectations as China posted a slower recovery than anticipated. On the other hand, the position on a gold ETF opened in early January was profitable.

- Regarding Fixed Income, the short duration stance prevented portfolios to fully benefit from the fall in yields but such strategy was deemed necessary to balance the overall volatility. A transition to sovereign debt and longer-dated securities will be made should the economic outlook worsen.

- The US Dollar Index extended its losses by 1.0% but is expected to rebound should macroeconomic conditions worsen.

The first effects of monetary policy tightening are starting to unfold. There has been a slowdown in the pace of hiring for the first time in months and companies are anticipating lower profits due to tighter margins. Households are increasingly struggling to pay their mortgages and are affected by an inversed wealth effect as property valuations are falling. This could in turn hurt stock markets, especially when equities valuations are still elevated on a historical basis. On the other hand, there are significant opportunities in the fixed income market where high returns can be achieved while taking minimal risks. Favoring such kind of assets while adopting a cautious positioning on equities appears to be the appropriate strategy for now.

Conservative	QTD	YTD	1 Year	3 Years (ann.)
USD	1.67%	1.67%	-5.91%	-1.28%
EUR	1.45%	1.45%	-5.08%	-
MUR	0.22%	0.22%	-2.25%	3.44%

Defensive	QTD	YTD	1 Year	3 Years (ann.)
USD	2.51%	2.51%	-6.22%	0.44%
EUR	1.74%	1.74%	-3.33%	-
MUR	-0.86%	-0.86%	-5.12%	4.28%

Balanced	QTD	YTD	1 Year	3 Years (ann.)
USD	2.74%	2.74%	-5.97%	0.14%
EUR	1.77%	1.77%	-2.25%	1.58%
MUR	-1.30%	-1.30%	-6.68%	6.94%

Trade Ideas



Trade Ideas

AXIOM Yield Fund

Our in-house fixed income fund aims to outperform the average savings rate plus a premium, while providing investors with regular income. In the previous edition of the Quarterly Insights, AXIOM Yield fund was suggested among the trade ideas of Q1'23, as we anticipated a potential repricing of the yield curve. Over this period, the Fund was up 3.44%, and distributed a dividend of MUR 0.23 per share, bringing its dividend yield to 4.34%. After aggressive rate hikes to combat inflation in 2022, the BOM has kept rates unchanged since the beginning of the year, as we saw inflation dampen from 2022 highs. Such an economic environment should remain beneficial for the Fund. While AXIOM Yield fund is mostly exposed to local bonds, the Fund also offers exposure to global fixed income markets, providing diversification benefits of hard currencies, limiting the risk linked to the depreciation of the Mauritian Rupee. With an annualized return of 5.35% since its inception, AXIOM Yield Fund remains a good alternative to regular savings accounts and would be an ideal instrument to benefit from a recovery of the bond market. *[See Page 29]*

Gold – The ultimate insurance

Gold performed strongly over Q1'23 (+8.0%) as it was in high demand in the wake of the banking crisis which got investors worried about the resilience of the global economy. In the previous edition of the Quarterly Insight, we had already made a case for gold for 2023. Indeed, the resilience of the yellow metal in 2022 did not go unnoticed, especially in an environment whereby the real interest rates was rising significantly (owing to aggressive rate hike by central banks). Typically, gold prices have an inverse relationship with real interest rates. Central banks around the world were among the biggest buyers of the commodity in recent months as the freezing of Russia's US Dollar denominated reserves spurred other countries to reduce their exposure to the US Dollar. Also, traditional asset allocators see gold as an essential part of investment portfolios in the current environment whereby economic growth is expected to slow down sharply while the risk of a financial/economic crisis of significant proportions has risen sharply in the wake of the collapse of Silicon Valley Bank and the takeover of Credit Suisse by UBS. We have significantly increased the exposure to Gold across our investment strategies and fully expect the price of the precious metal to rise to new all-time highs in coming months. *[See Page 35]*

Consumer Staples to continue to deliver robust performance

2022 witnessed the resurgence of value investing as this particular strategy trounced growth investing, as evidenced by the significantly better performance of the Dow Jones Industrial Average Index (-6.9%) compared to the NASDAQ Index (-32.5%) last year. Over the first three months of 2023, there has been a reversal of last year's trend as growth stocks rebounded strongly on account of a more resilient global economy and the hope that peak inflation had been reached. We believe that, in light of the anticipated further weakening of the global economy and the stickiness of core inflation, the trends we witnessed in 2022 are likely to prevail for the foreseeable future. We view the recent underperformance of defensive sectors as an attractive investment window to reignite the value trade. We expect value to outperform growth over the foreseeable future as higher financing costs constrain both households and corporates. High level of indebtedness at public level should also constrain governments to run significant budget deficits. All in all, this should weaken economic activity further. We favour consumer staples, especially those companies with solid balance sheets and resilient balance sheets. *[See Page 33]*

AXIOM

Funds



AXIOM Funds

AXIOM Patrimoine
Capital Growth through Diversification

The last quarter further showcased the benefits of diversification. Following a complicated Q1'23, where the SEMDEX was down 4.01%, AXIOM Patrimoine remained somewhat resilient and was down 0.13%, as it benefited from a strong performance of our international exposure coupled with an appreciation of the USD vs MUR. AXIOM Patrimoine was created to provide investors the opportunity of long-term capital growth, and we believe our risk-based model, and well-diversified portfolio is ideal to navigate markets over the long run.

AXIOM Yield Fund
Higher Return Potential on Your Savings

AXIOM Yield Fund aims to deliver returns above the savings rate plus a premium, through capital appreciation and regular income distribution. Following a complicated 2022, characterized by rising rates and inflation, the Bank of Mauritius has refrained from making rate hikes over the last quarter. Such an environment has been beneficial for AXIOM Yield Fund, which was up 3.44% over Q1'23 following a repricing of the yield curve. Additionally, AXIOM Yield Fund benefited from foreign currency diversification as both the EUR and USD appreciated vs the MUR. With an annualized return of 5.35% since its inception, AXIOM Yield Fund remains a good alternative to regular savings accounts and would be an ideal instrument to benefit from a recovery of the bond market.

Dynamic Global Equity
Quality Global Exposure in Multiple-Currencies

Following a complicated year in 2022, where rising rates weighed on the performance of growth stocks, Dynamic Global Equity Fund has rebounded strongly since the start of the new year. In Q1'23, the fund was up 9.09%, outperforming its benchmark by 1.36%. The Fund offers exposure invests to high-quality global stocks and has maintained a strong track record since its inception, with an annualised return of 12.47%. Dynamic Global Equity remains well positioned to navigate positively through 2023.

AXIOM Sustainability Premia
A Sustainable Portfolio Diversifier

AXIOM Sustainability Premia was created to take advantage of market inefficiencies, providing investors with an uncorrelated investment option to navigate the stock market in various market cycles, while also remaining resilient during sharp market downturns. Over the last 3 months, the fund experienced a 1.28% decline. The Fund aims to offer investors exposure to highly ranked sustainable stocks, while simultaneously removing the market effect by synthetically shorting the EURO STOXX 50 Index.

AXIOM Africa Equity Fund
African Potential

The performance of the AXIOM Africa Equity Fund in the quarter has been adversely affected by unfavourable conditions in both the global and local markets. In Q1 of 2023, the Fund's performance fell short of its benchmark by 2.26%. Despite these challenges, the African continent presents unique opportunities such as the digital revolution, growing consumption, and the emergence of a middle class. To capitalize on these opportunities, we recommend a 'Quantamental' approach that combines quantitative stock filtering with fundamental research to select stocks across the region optimally.

AXIOM Equity Fund
Opportunity to Participate in the Mauritian Economy

The AXIOM Equity Fund seeks to provide investors with access to the top-rated Mauritian stocks that exhibit robust fundamentals and are anticipated to perform well across various market cycles. However, in the first quarter of 2023, the Fund's performance was negatively impacted by the difficult market environment in Mauritius. During this period, the Fund's returns underperformed its benchmark by 2.32%. Despite this setback, AXYS is optimistic that the local economy will experience an upswing due to the favourable momentum in the tourism industry. As a result, the AXIOM Equity Fund is expected to benefit from this recovery and is well positioned to do so.

AXIOM Patrimoine
(I MUR)

31 March 2023

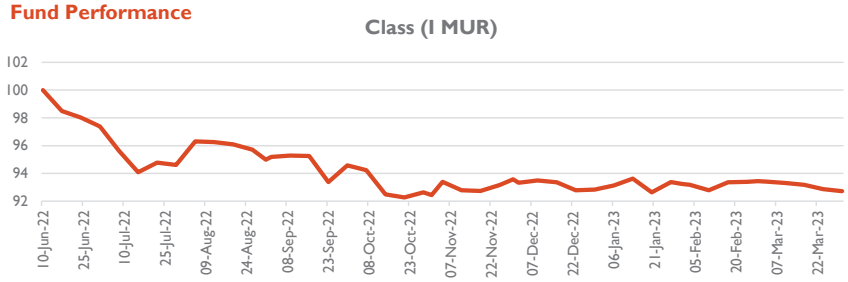
AXIOM Funds

Investment Focus

AXIOM Patrimoine is a multi-asset class fund designed to benefit from different asset types both domestically and internationally, with the goal of delivering and absolute and stable rate of return through both income and capital appreciation.

The investment strategy combines a liquidity driven stock selection model for local equities and a risk-parity model for international securities.

Fund Performance



Price Data

R Class - MUR	9.00
I Class - MUR	9.27

Performance as at 31 March 2023

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I MUR	-0.77%	-0.13%	-0.13%	-	-7.28%
Class R MUR	-0.86%	-0.38%	-0.38%	-	-9.96%

Fund Facts

Investment Manager	AXYS Investment Partners
Inception Date	10 June 2022
Target	6% Annualised
Management Fee - R	2.0%
Management Fee - I	1.0%
Entry Fee	Up to a maximum of 2%
Exit Fee (< 1 Year HP*)	Up to a maximum of 2%
Exit Fee (1 to 3 Years HP*)	Up to a maximum of 1%
Exit Fee (> 3 Years HP*)	0.0%
Performance Fee (R and I)	20% of Positive Perf above the Hurdle Rate & HWM
Minimum Investment (Lump Sum)	R: MUR10,000 I: MUR50,000,000
Regular Savings Plan	R: MUR 1,000 / I MUR 5Million
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

**HP: Holding Period*

Key Figures - as of end of month

Asset Under Management (MUR)	123.65M
Number of Holdings (ex. Cash)	29
Beta	-
Volatility	-
Sharpe Ratio	-
Largest Upside (weekly)	1.78%
Largest Drawdown (weekly)	-1.97%
No of upside returns (weekly)	17
No of downside returns (weekly)	31

Market Review

Local Market

Over the month, the SEMDEX was down 2.73% dragged by Financials and Industrials. Annual inflation dropped to 11.0% YoY in February as compared to 11.8% YoY in January. Total exports were up 13.4% YoY in January 2023 while total imports fell by 1.3% YoY in the same month.

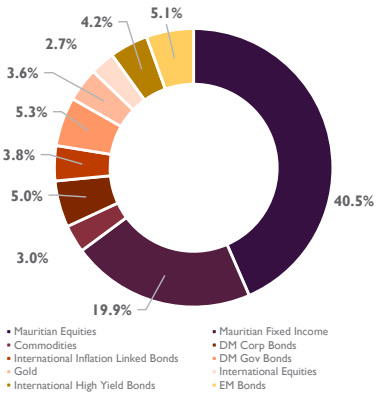
International Markets

Both global equities and gobal bonds performed strongly in March, up 2.01% and 2.55% in MUR terms. Commodities were down 1.75% in MUR terms.

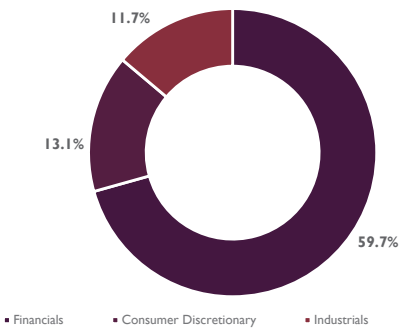
Portfolio Comments

Our local equity portfolio was down over the month following the poor performance of the SEMDEX (TR), This was partally offset by a strong performance of our internatinal portfolio, despite an appreciation of MUR vs USD.

Asset Class Split



Local Equities Sector Split



Top 5 Positions

MCB Group Ltd	14.6%
MAURTN 2 1/4 10/05/24	9.0%
IBL Ltd	5.5%
iShares Global Govt Bond	5.3%
iShares US & International	5.1%

Top Contributors (bps)

WisdomTree Physical Gol	0.20%
SBM Holdings Ltd	0.15%
iShares Global Inflation Lin	0.11%

Top Detractors (bps)

MCB Group Ltd	-0.37%
ENL Ltd	-0.19%
MUA Ltd	-0.17%

AXIOM Funds

AXIOM Africa Equity Fund (I USD)

31 March 2023

Investment Focus

The objective of the Fund is to achieve long-term capital growth by investing in listed African equities which will benefit from various socio-economic structural changes unfolding in Africa. These include the demographic wave driven by a growing African middle class and the digital revolution unfolding throughout the continent.

The capital allocation of the Fund follows a robust 'Quantamental' approach combining crucial top down risk management, quantitative stock filtering process and solid bottom-up analysis. This disciplined framework guides the decision making process throughout the investment cycle, starting from mega trend identification till execution.

While it is not intended that the investment policy will be dictated by a benchmark, performance achieved will be measured against the MSCI Emerging Frontier Markets Africa Index for comparison purposes. The composition of the Fund will therefore not match or reflect that of its benchmark.

Class	Currency	Inception	Price
I	USD	05 Aug 2020	10.5236
I	EUR	05 Aug 2020	9.7088
I	MUR	05 Aug 2020	482.2546
R	USD	11 Dec 2020	9.0983
R	EUR	19 Feb 2021	7.8680
R	MUR	16 Oct 2020	462.4168

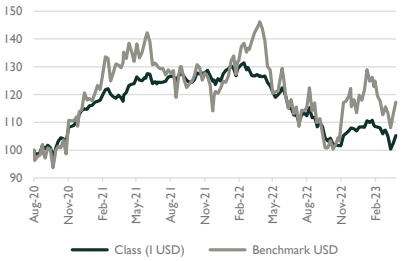
Fund Facts

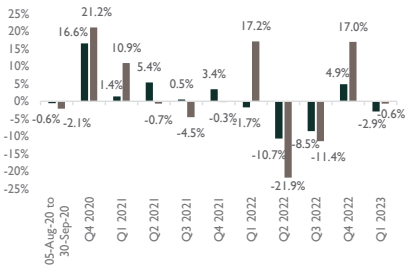
ISIN	MU0676S00009
Bloomberg Ticker	AXAFCIU
Investment Manager	AXYS Investment Partners
Benchmark	MSCI EFM Africa Index
Management Fee - R	2.0%
Management Fee - I	1.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Minimum Investment	R: USD1,000 or equiv. I: USD100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month

Asset Under Management (USD)	1,538,509
Number of Holdings (ex. Cash)	31
Market Cap (M USD weighted)	8,438
Price/Book (trail. weighted)	6.2x
Price/Earnings (trail. weighted)	8.2x
Dividend Yield (trail. %)	5.04%
Active Share	>90%
Beta	0.3
Volatility	10.2%
Tracking Error	4.7%
Risk Adjusted Return	0.2
Information Ratio	-0.9
Largest Upside (weekly)	5.45%
Largest Drawdown (weekly)	-4.31%
No of upside returns (weekly)	73
No of downside returns (weekly)	65

Fund Performance





Performance as at 31 March 2023

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I USD	-1.68%	-2.91%	-2.91%	-16.81%	5.24%
Benchmark	2.63%	-0.65%	-0.65%	-19.55%	17.23%
Class R USD	-1.73%	-3.03%	-3.03%	-17.23%	-9.02%
Benchmark	2.63%	-0.65%	-0.65%	-19.55%	2.32%
Class I EUR	-4.08%	-4.10%	-4.10%	-15.06%	15.18%
Benchmark	0.14%	-2.09%	-2.09%	-17.98%	28.06%
Class R EUR	-4.12%	-4.22%	-4.22%	-15.49%	-4.65%
Benchmark	0.14%	-2.09%	-2.09%	-17.98%	-1.68%
Class I MUR	-2.80%	0.41%	0.41%	-15.29%	21.55%
Benchmark	1.08%	3.11%	3.11%	-18.07%	35.35%
Class R MUR	-2.85%	0.28%	0.28%	-15.71%	14.48%
Benchmark	1.08%	3.11%	3.11%	-18.07%	33.68%

Market Review

Northern Africa

Morocco – Over the month the MASI Free Float Index TR (USD) declined by 3.17% dragged by Financials and Comm. Services. Morocco's CPI was up 1.7% MoM and up 10.1% YoY in February, driven by consumer goods prices. S&P Global Ratings benchmarked Morocco's credit rating at BB+/B with stable outlook given ongoing structural reforms which are expected to support robust economic growth. **Egypt** – Over the month the EGX 30 Index TR (USD) was down 4.24% dragged by Financials and Real Estate. Egypt's annual headline inflation rose to 32.9% in February, compared to 26.5% in January. Headline inflation rose 6.5% MoM as food prices rose 14.3% MoM during the period, the highest monthly food print since 2005. Ministry of Finance revised their forecast for FY'23 deficit to 6.8% of GDP from 6.1% initial target. **Tunisia** – Over the month the TUNINDEX Index TR (USD) was up 4.43% driven by Financials and Cons. Staples. The CBT kept rates unchanged at 8.0% in February. The board expects inflation to dampen in the 2nd half of the year. However, inflation soared to 10.4% in February compared to 10.2% in the previous month. Food inflation was at 15.6% YoY, compared to 14.2% in January. Tunisia is still waiting for a date for the Board approval of the US$1.9bn IMF program after the SLA agreed in October.

Western Africa

Nigeria – Over the month the Nigerian Stock Exchange All Share Index TR (USD) climbed by 0.32% driven by Cons. Staples and Utilities. Nigeria's PMI index declined to 44.7 in February from 53.5 in January. External reserves fell to 18 months low of US$35.74B in March, compared to US$36.69B a month earlier as the country continues to struggle to meet is OPEC quota of 1.8M barrels/day. Inflation quickened to 21.9% in February from 21.8% in January. **BRVM** – Over the month the BRVM Composite Index TR (USD) was down 0.28% dragged by Comm. Services and Cons. Discretionary. BCEAO raised its benchmark rate by 25bps to 3.00%. IMF concluded its Senegal visit and expects economic growth to rebound to around 8% in 2023 if oil and gas production starts during the year, and around 5%-5.3% if delayed until 2024. **Ghana** – Over the month, the GGSECI Index TR (USD) was up 27.82 driven by Comm. Services and Energy. Annual inflation slowed for a second consecutive month to 52.8% YoY in February as compared to 53.6% YoY in January. PPI falls to 52.1% YoY in January as compared to 52.2% YoY in December. BOG hiked the main rate by 150bps to 29.5% on persisting inflationary shocks.

Eastern Africa

Kenya – Over the month, the NSE All-Share TR (USD) was down 12.94% dragged by Comm. Services and Financials. Annual inflation increased to 9.2% YoY in February from 9.0% YoY in January due to increase in food prices and transportation costs. Government to waive import duties for maize, rice, sugar, and cooking, to help contain domestic food prices this year. **Mauritius** – Over the month, the SEMDEX TR (USD) was down 1.25% dragged by Financials and Industrials. Annual inflation dropped to 11.0% YoY in February as compared to 11.8% YoY in January. PPI fell to 13.7% YoY in January as compared to 15.7% YoY in December. Tourist arrivals at 199,534 from Jan-Feb 23, representing 83.9% of 2019 levels during the same period. Trade deficit lower by 39.9% MoM in January 2023 and lower by 9.0% YoY compared to January 2022.

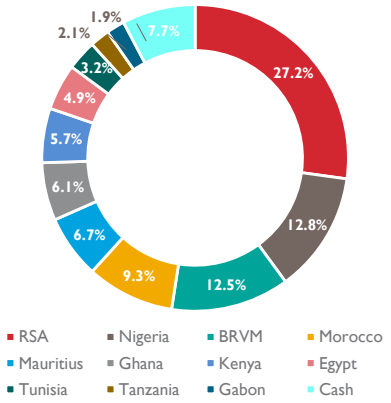
AXIOM

AXIOM Africa Equity Fund (I USD)

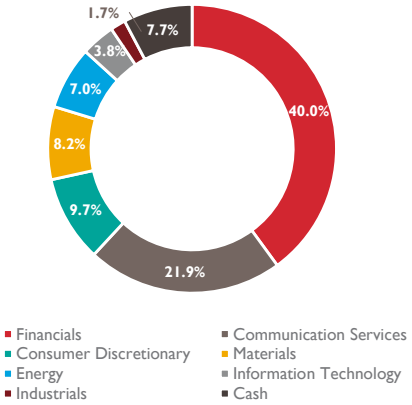
31 March 2023

Funds

Geographic Split



Sector Split



Top 5 Positions

Naspers	5.6%
MTN Nigeria	5.5%
SIBC	4.3%
FirstRand	4.2%
SGBC	4.1%

Top 3 Contributors (bps)

Perseus Mining	34
Prosus	28
Naspers	24

Top 3 Detractors (bps)

Safaricom	-74
MTN Group Ltd	-35
Airtel Africa	-26

Market Cap Breakdown (USD)

Above 1B	64.8%
500M — 1B	6.7%
100M — 500M	20.9%
Below 100M	7.6%

Market Review Continued

Tanzania – Over the month the DARSDSEI Index TR (USD) declined by 3.15% dragged by Cons. Staples. Annual inflation rose slightly down to 4.8% YoY in February from 4.9% YoY in January. Private sector credit increased 23.1% YoY in January 2023 compared with 10% YoY in January 2022 on the back of supportive monetary and fiscal policies and recovery of economic activities from effects of global shocks. Real GDP growth projected to rebound to 7% over the medium term according to the IMF. Coal exports increased a staggering 780% to US$195M in the year ending January 23 as compared to US$22.2M in the year ending January 2022.

Southern Africa

South Africa – Over the month the FTSE / JSE All-Share Index (TR USD) was down -1.23% dragged by Financials and Materials. The MPC announced an interest rate hike of 50bps, bringing the repo rate to 7.75%. The SARB raised its headline inflation forecast for 2023 to 6% - up from 5.4%. Consumer inflation rose to 7% YoY in February, compared to 6.9% YoY in January, driven by food prices. PMI declined to 48.1 in March, compared to 48.8 in February. GDP Contracted 1.3% QoQ in Q4'22, following a growth of 1.8% QoQ in Q3'22, dragged by the Finance sector.

Portfolio Positioning

Northern Africa

Morocco – Stock selection has been mixed with Disway +4.35% and HPS +1.66% respectively contributing +16bps and +5bps while BCP -4.66% negatively contributed 11bps to the portfolio performance. **Egypt** – Our Egyptian portfolio was down over the month, as both Telecom Egypt and COMI returned -6.08% and -4.76% respectively, contributing -12bps and -15bps. **Tunisia** – BIAT performed strongly, returning +6.73%, contributing 20bps to overall portfolio performance.

Western Africa

Nigeria – Returns on the Nigerian portfolio have been mostly negative for the month. MTN Nigeria +2.42% positively contributed by 13bps while Airtel Africa -9.88%, Seplat -6.82% and Zenith Bank -2.39% negatively contributed by 26bps, 19bps and 6bps to the portfolio. **BRVM and Gabon** – SIBC and SGBC were up +3.35% and +2.56% respectively, contributing +14bps and +10bps to overall portfolio performance. Sonatel and Vaalco Energy however were down 1.23% and 1.97%, negatively contributing by 5bps and 4bps. **Ghana** – Over the month, stock selection has been mixed with Perseus Mining +19.88% and Cal Bank +8.49% positively contributing 34bps and 12bps while Kosmos Energy -5.46% negatively contributed by 15bps to the overall performance.

Eastern Africa

Kenya – Our Kenyan stocks were down during the month as Equity Bank and Safaricom fell by 4.22% and 23.06% respectively, contributing -14bps and -74bps to the overall portfolio. **Mauritius** – The Mauritian portfolio has been mixed for the month: SBMH +7.73% contributed positively by 15bps while ENL Ltd -7.70% and MCB Group -0.97% contributed negatively by 14bps and 3bps to the performance. **Tanzania** – Helios Towers was down 3.41% over the month, contributing negatively by 7bps to the portfolio performance.

Southern Africa

South Africa – Our South African portfolio was a mixed bag during the month. Prosus and Naspers were up 7.40% and 4.52% respectively, contributing 28bps and 24bps respectively. Miners Sibanye-Stillwater and Impala were up 5.32% and 1.14%, contributing 10bps and 2bps each. On the other hand, MTN, Glencore, Nedbank, and Firstrand returned -9.00%, -4.26%, -2.78% and -1.81%, contributing -35bps, -12bps, -10bps and -8bps to overall portfolio performance.

Note: Performance is reported in USD Total Return terms.

DISCLAIMER

This document is provided for information purposes only and is not a solicitation or an offer to buy or sell any fund. AXIOM Africa Equity Fund (the "Fund") is authorised as a collective investment scheme by the Financial Services Commission of Mauritius ("FSC") and is suitable only for such persons described in the prospectus. The full version of the prospectus and the subscription documents can be obtained upon request from the Manager. The FSC does not vouch for the financial soundness or for the correctness of any statements or opinions expressed with regards to the Fund. AXYS INVESTMENT PARTNERS LTD (the "Manager") accepts no liability or responsibility whatsoever for any consequential loss of any kind arising out of the use of this document or any part of its contents. Investors are not protected by any statutory compensation arrangement in Mauritius in the event of the Fund's failure. Any past performance figures as published herein are not to be taken as a guide to future returns. As is true for any investment in any collective investment scheme, investment in the securities herein is not guaranteed. The value of the investment may go up as well as down and the investor may not get back his initial capital. In certain circumstances an investor's right to redeem his investment may be suspended. Indices are used for comparative purposes only. The Manager is duly licensed by the FSC as CIS Manager and Investment Adviser (Unrestricted).

AXIOM Sustainability Premia (I EUR)

31 March 2023

AXIOM Funds

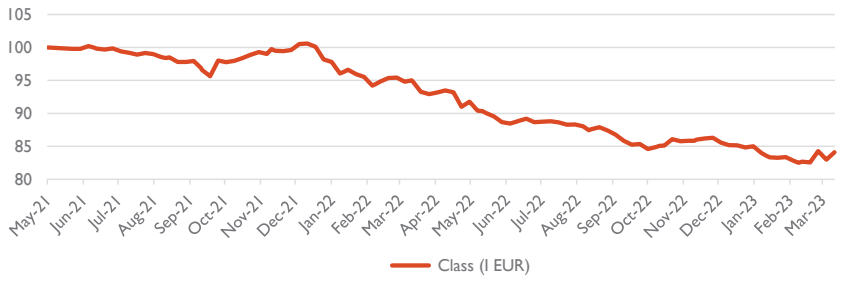
Investment Focus

AXIOM Sustainability Premia aims to participate in rising markets, benefitting from long-term appreciation of ESG related equities and outperform in falling markets by providing downside protection against highly volatile markets.

By investing in a long-short strategy, the Fund seeks to be market neutral with low correlation to traditional asset classes. The layer of protection also allows the strategy to limit volatility.

The European market, which is considered the most mature sustainable universe is the ideal vehicle to implement our strategy.

Fund Performance



Price Data

I Class - EUR	8.41
I Class - USD	7.68
I Class - MUR	8.71
R Class - MUR	8.51

Performance as at 31 March 2023

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I EUR	1.93%	-1.28%	-1.28%	-11.49%	-15.87%
Class I USD	4.47%	-0.05%	-0.05%	-13.31%	-23.19%
Class I MUR	3.54%	4.00%	4.00%	-11.56%	-12.92%
Class R MUR	3.49%	3.87%	3.87%	-12.00%	-14.90%

Fund Facts

ISIN	-
Bloomberg Ticker	-
Investment Manager	AXYS Investment Partners
Inception Date	21 May 2021
Benchmark	EONIA Index
Management Fee - R	1.0%
Management Fee - I	0.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Performance Fee - R	20% of Positive Perf above its HWM
Performance Fee - I	15% of Positive Perf above its HWM
Minimum Investment	R: EUR1,000 or equiv. I: EUR100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

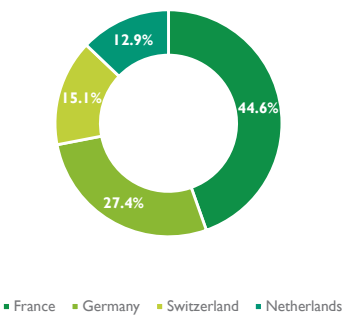
Market Review

Over the month, the European ESG Stocks as measured by the EURO STOXX 50 ESG Index TR (EUR) was up 0.87% underperforming the EURO STOXX 50 Index TR (EUR) by 114bps. Top performing countries in the ESG space were France and Germany while top performing sectors were Consumer Discretionary and Information Technology sectors. Market sentiment on European ESG stocks has been strong across the board, our indicator based on investor flows reveals a net inflows of approx. EUR0.4B last month on the asset class. At the end of last month and since the last expiry, 79% of AXIOM Sustainability Premia investments have been profitable. At the country level, top contributors were France and Germany while main detractors were Netherlands and Switzerland. At the sector level, top contributors were Information Technology and Consumer Discretionary while main detractors were Industrials and Communication Services. Top performing underlying stocks such as Infineon Technologies AG a semiconductor manufacturer helped the fund performance while Vinci SA a global player in infrastructure and engineering declined during the month and was one of the main detractors.

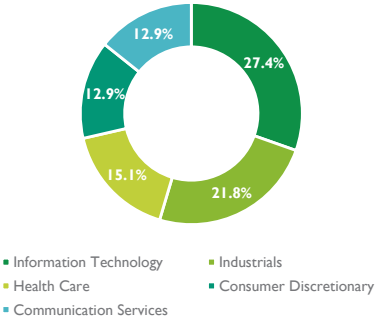
Key Figures - as of end of month

Asset Under Management (EUR)	164,011
Number of Holdings (ex. Cash)	9
Beta	-
Volatility	-
Sharpe Ratio	-
Sortino Ratio	-
Largest Upside (weekly)	5.10%
Largest Drawdown (weekly)	-3.99%
No of upside returns (weekly)	43
No of downside returns (weekly)	63

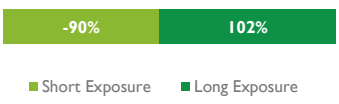
Geographic Split



Sector Split



Exposure



Top 5 Long Positions

Novartis AG	15.1%
SAP SE	13.9%
Infineon Technologies AG	13.5%
Prosus NV	12.9%
Publicis Groupe SA	12.9%

AXIOM Yield Fund

31 March 2023

AXIOM Funds

Fund Objective

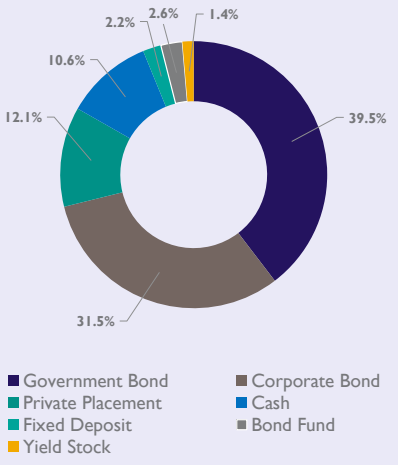
AXIOM Yield Fund was set up with the objective of providing investors with regular income and aims to outperform the average savings rate plus a premium by maximizing risk adjusted returns.

Fund Manager Comments

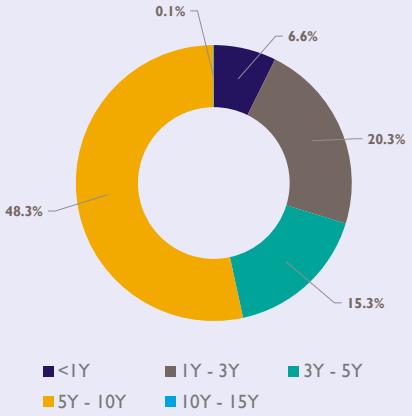
AXIOM Yield Fund was up 0.34% during the month while the benchmark returned 0.36%. The Fund's performance was driven by its exposure to longer term MUR denominated securities in March. Annual inflation dropped to 11.0% YoY in February as compared to 11.8% YoY in January. In March, the weighted average yield on Treasury bills and Government of Mauritius Bonds was mixed. The weighted average yield on the 3-months, 6-months and the 1-year Treasury Bills had a weighted average yield standing at 4.26%, 4.60% and 4.70%, respectively down by 2bps and up by 18bps and 23 bps compared to the auction held in February. The last 5-year Government of Mauritius Bonds had a weighted average yield standing at 4.85% down by 5bps compared to the auction held in February. The last 15-year Government of Mauritius Bonds had a weighted average yield standing at 5.48% up by 5bps compared to the auction held in November.

Total AUM	MUR 249.9M
NAV	11.10
Currency	MUR
Inception Date	23 November 2017
Min. Investment	MUR 50,000
Dividend Frequency	Semi Annually[1]
Dividend Yield	4.34%
Total Expense Ratio	1.30%
Benchmark	Average Savings Rate + 2.0%
Entry Fee/ Exit Fees	Up to 2%
Liquidity Period	Weekly

Asset Class



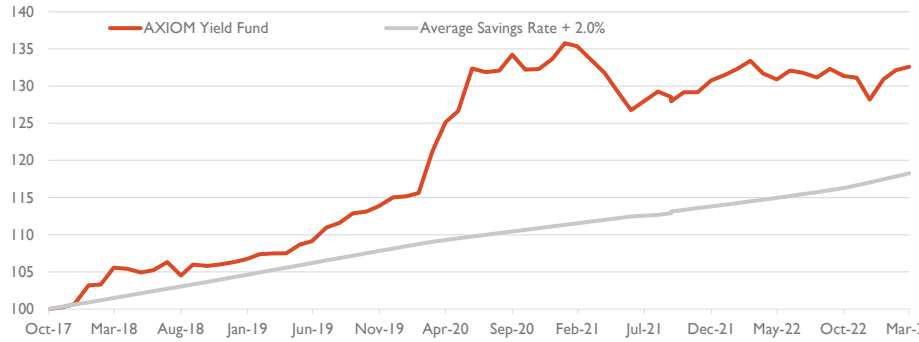
Duration Breakdown



Portfolio Metrics

Average Duration	4.21
Weighted YTM	6.09%

Fund Performance[2]



Performance as at 31 March 2023

	AXIOM Yield Fund	Avg. Savings Rate +2.0%
1 Month's Return	0.34%	0.36%
3 Months' Return	3.44%	1.05%
YTD	3.44%	1.05%
12 Months' Return	-0.61%	3.30%
Return Since Inception	32.59%	18.27%
Ann. Return Since Inception	5.35%	3.15%

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	Avg SR + 2.0%
2017	-	-	-	-	-	-	-	-	-	-	0.23%	0.41%	0.41%	0.61%
2018	2.56%	0.10%	2.19%	-0.14%	-0.48%	0.29%	1.03%	-1.68%	1.39%	-0.18%	0.21%	0.29%	5.66%	3.67%
2019	0.39%	0.59%	0.11%	0.02%	1.09%	0.41%	1.70%	0.54%	1.16%	0.20%	0.68%	1.01%	8.16%	3.68%
2020	0.15%	0.37%	4.88%	3.22%	1.20%	4.52%	-0.38%	0.16%	1.62%	-1.49%	0.04%	1.02%	16.19%	2.76%
2021	1.60%	-0.30%	-1.39%	-1.27%	-1.97%	-1.87%	1.96%	-0.58%	-0.43%	0.95%	0.00%	1.24%	-2.13%	2.43%
2022	0.55%	0.61%	0.83%	-1.27%	-0.61%	0.90%	-0.21%	-0.50%	0.89%	-0.71%	-0.18%	-2.26%	-1.99%	2.83%
2023	2.14%	0.94%	0.34%										3.44%	1.05%

1: October 1st & April 1st

2: Line graph & Performance statistics assume reinvested dividends

AXIOM

Dynamic Global Equity (I USD)

31 March 2023

Funds

Underlying Fund Investment Objective

Dynamic Global Equity Fund is a feeder fund which invests directly in Fundsmith Equity Fund. The aim of the underlying fund is to provide long-term growth by investing in equities on a global basis and adopting a specific investment philosophy. It is envisaged that the underlying fund will generally be comprised of 20 to 30 stocks. The underlying fund is not expected to invest in derivatives and is not expected to hedge any currency exposure.

Underlying Fund Manager Philosophy

The philosophy of the underlying fund manager is to invest in equities which are of high quality and difficult to replicate. The company selects equities with a perceived high degree of certainty of growth and businesses which are resilient to change. It also selects businesses whose valuation is considered to be attractive.

Underlying Portfolio Comments

The underlying fund made no outright sales or purchases of holdings made in the month. The top 5 contributors in the month were Meta Platforms, Novo Nordisk, Microsoft, Stryker and Pepsico. The top 5 detractors were Estée Lauder, Philip Morris, Alphabet, Amazon and Nike.

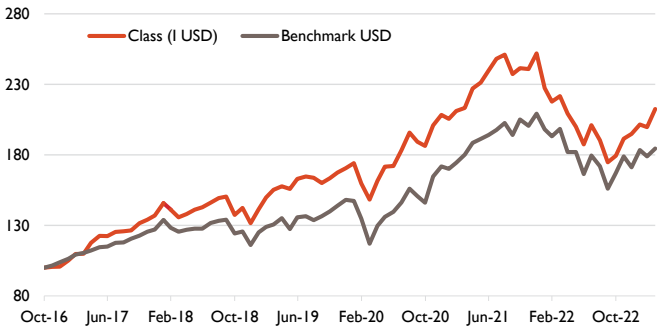
Key Facts

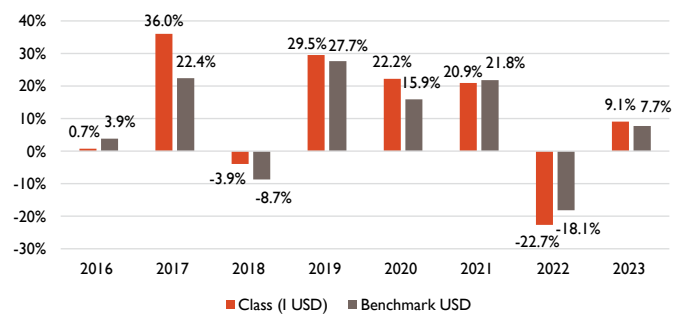
Fund Total AUM	USD 107.2mn
Currency	USD
Min. Investment (Lump Sum)	USD 1,000,000
Total Expense Ratio	1.15%
Underlying Fund Manager	Terry Smith
Morningstar Rating	Gold
Entry Fee	Up to a max of 2%
Exit Fee	Up to a max of 2%

Class	CCY	Inception	Price
I	USD	Nov 4, 2016	46.41
I	GBP	Nov 4, 2016	37.62
I	EUR	Nov 4, 2016	42.79
I	MUR	Mar 19, 2020	2,131.36
R	USD	Oct 14, 2015	213.45
R	GBP	Nov 4, 2016	177.55
R	EUR	Nov 4, 2016	201.85
R	MUR	Aug 17, 2017	9,927.30

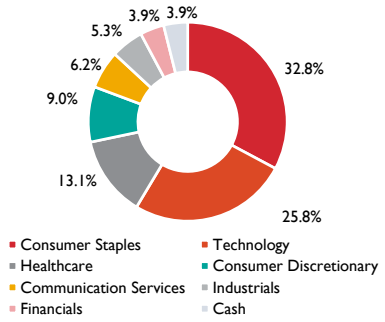
Performance as of 31 March 2023

	1 Month	3 Months	YTD	1 Year	Since Inception	Ann S.I.
Class I USD	6.45%	9.09%	9.09%	-4.10%	112.51%	12.47%
Benchmark	3.09%	7.73%	7.73%	-7.02%	84.49%	10.01%
Class R USD	-0.99%	4.13%	2.40%	-8.78%	113.45%	10.82%
Benchmark	3.09%	7.73%	7.73%	-7.02%	86.94%	8.85%
Class I GBP	3.74%	6.85%	6.85%	2.12%	113.30%	12.53%
Benchmark	0.46%	5.52%	5.52%	-0.95%	83.06%	9.88%
Class R GBP	1.47%	4.44%	2.92%	1.83%	98.98%	11.48%
Benchmark	0.46%	5.52%	5.52%	-0.95%	82.22%	9.94%
Class I EUR	3.78%	7.59%	7.59%	-2.17%	117.46%	12.87%
Benchmark	0.58%	6.40%	6.40%	-5.07%	86.90%	10.24%
Class R EUR	1.69%	2.48%	3.59%	-3.21%	102.51%	11.79%
Benchmark	0.58%	6.40%	6.40%	-5.07%	85.81%	10.28%
Class I MUR	5.12%	13.19%	13.19%	-2.21%	66.51%	17.95%
Benchmark	1.91%	11.41%	11.41%	-5.31%	65.98%	17.83%
Class R MUR	2.49%	9.41%	7.60%	-4.34%	105.92%	13.81%
Benchmark	1.91%	11.41%	11.41%	-5.31%	111.52%	14.36%

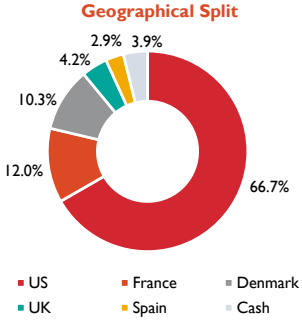




Sector Split



Geographical Split



AXIOM Equity Fund
(I MUR)
31 March 2023

AXIOM Funds

Fund Objective
The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks. All dividends are reinvested given their importance in driving long-term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments
The Fund was down 1.98% during the month while the SEMTRI had a negative performance of 2.73%. AXIOM Equity Fund performance was impacted by its exposure to Financials and Industrials. SEMTRI's performance was dragged by Financials, Industrials and Consumer Discretionary.

Annual inflation dropped to 11.0% YoY in February as compared to 11.8% YoY in January. PPI fell to 13.7% YoY in January as compared to 15.7% YoY in December.

Tourist arrivals at 199,534 from Jan-Feb 23, representing 83.9% of 2019 levels during the same period.

Trade deficit lower by 39.9% MoM in January 2023 and lower by 9.0% YoY compared to January 2022.

Total exports were up 13.4% YoY in January 2023 while total imports fell by 1.3% YoY in the same month.

While tourist arrivals still lag their pre-pandemic levels, the hospitality sector has posted profitability higher than in 2019 during the first half of the financial year.

The Fund's investments have strong fundamentals with the actual portfolio expected to benefit strongly from an improvement in market conditions as business activities pick up.

Total AUM	Rs. 26.4m
NAV (Class R)	9.24
NAV (Class I)	9.83
Initial NAV	11.07
Currency	MUR
Inception Date	03 February 2017
Total Annual Fund Operating Expense Ratio	1.25%
Min. Investment (Lump Sum)	MUR 10,000,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

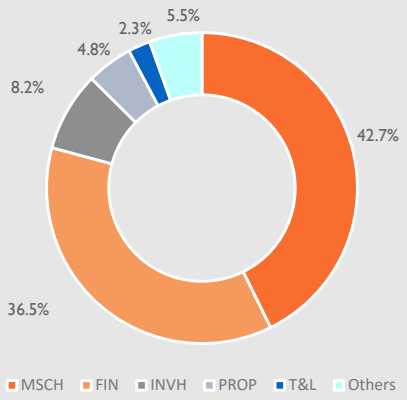
Gainers

▲ 6.1%	▲ 0.7%
SBM	CIEL

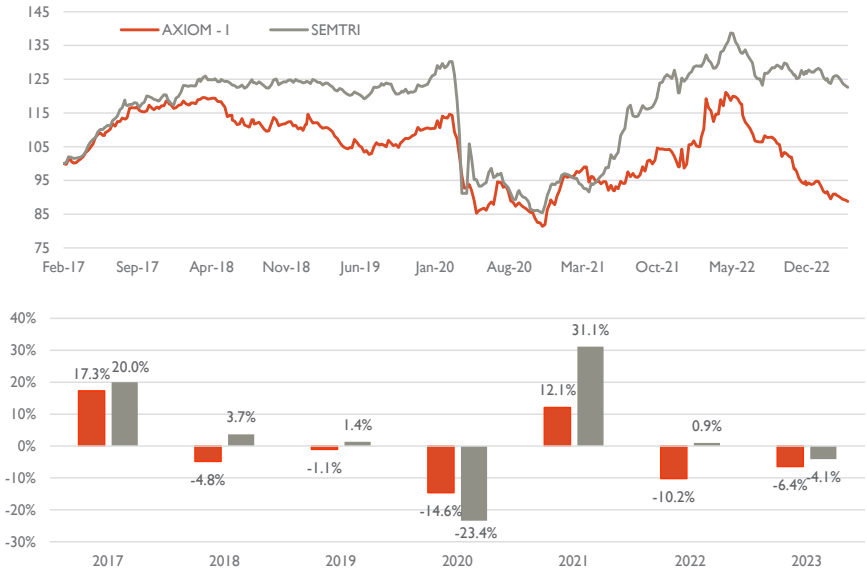
Laggers

▼ -2.7%	▼ -2.5%	▼ -1.7%
ASCE	MCB	IBL

Sector Allocation



Fund Performance (Class I)



Performance (Class I) at 31 March 2023

	AXIOM - I	SEMTRI
1 Month Return	-1.98%	-2.73%
3 Months' Return	-6.41%	-4.09%
YTD	-6.41%	-4.09%
12 Months' Return	-25.27%	-7.64%
Return since Inception	-11.24%	22.58%
Annualised Return since Inception	-1.92%	3.36%

Key Figures - as at end of month

Beta	0.58	Tracking Error	3.31%
Volatility	12.92%	Sharpe Ratio	-0.15
Information Ratio	-1.60		

Product

Factsheet



Product

Factsheet

Investment Opportunity

Consumer Staples ETF

About ETF

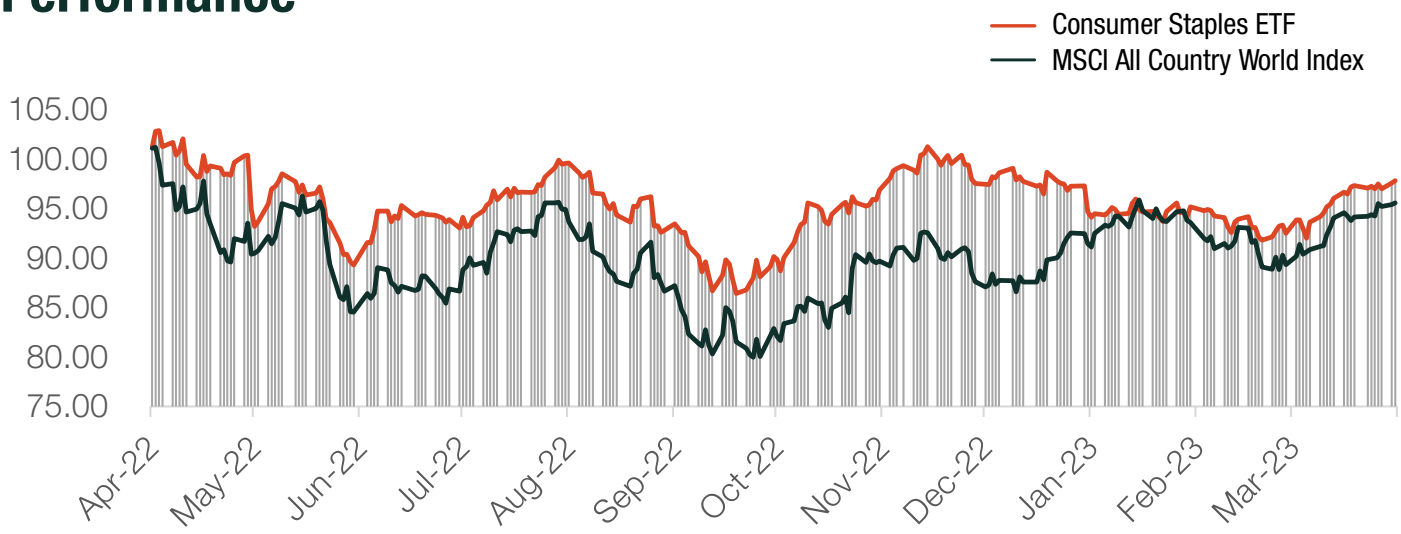
Our U.S. Consumer Staples ETF (the "Fund") seeks to replicate the investment results of an index composed of consumer staples-related equities in the United States. The Underlying Index includes large and medium capitalisation companies whose businesses tend to be less sensitive to economic cycles and whose customers' purchasing habits are non-cyclical in nature. The Fund has outperformed the MSCI All Country World Index by 15.7 percentage points over one year. The Consumer Staples industry includes companies that manufacture, distribute, and/or retail food, beverages, other non-durable household goods, drug-retailing companies as well as agriculture, fishing, ranching and milling companies.

Target Audience

This product is for investors who want to take shelter from the current economic slowdown and want exposure to robust companies that produce a wide range of consumer goods, including food, and household goods in a large and dynamic market with high consumption.

Highlights	
Fund Size	USD 1,53 Billion
Number of Holdings	55
Minimum Ticket Size	USD 10,00 0
Currency	USD
Entry Fees	Liquidity Daily

Performance



Product

Factsheet

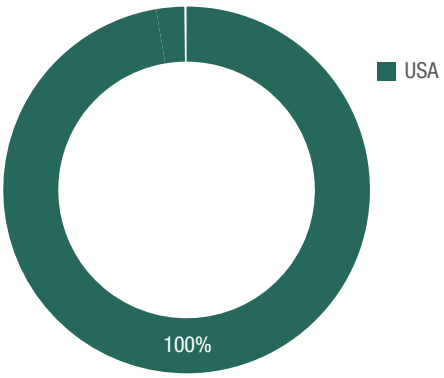
Investment Opportunity

Consumer Staples ETF

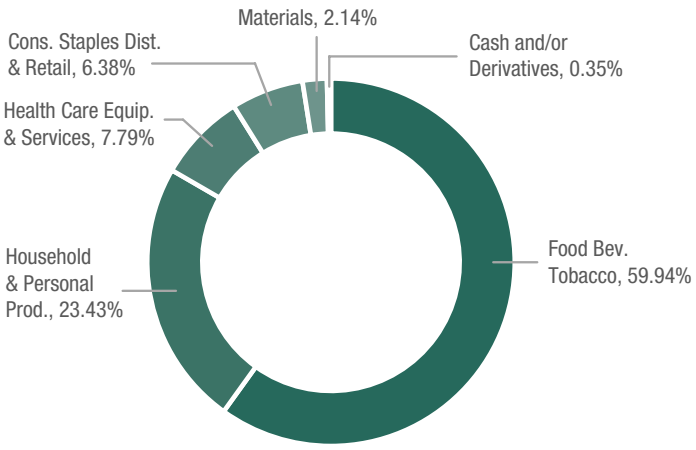
Cumulative Performance (Class I - USD)		
	ETF	ACWI[1]
1 Month	6.24%	7.01%
YTD	0.52%	9.14%
1 Year	0.06%	-2.80%

Cumulative Performance (Class I - USD)		
	ETF	ACWI[1]
2022	3.58%	-18.37%
2021	17.31%	18.67%
2020	32.64%	16.33%

Country Breakdown[2]



Sector Breakdown[2]



[1]MSCI All Country World Index
[2]Country & Sector Breakdown as at 31 April 2023

Product

Factsheet

Investment Opportunity

Bullion Gold ETF

April 2023

Product Description

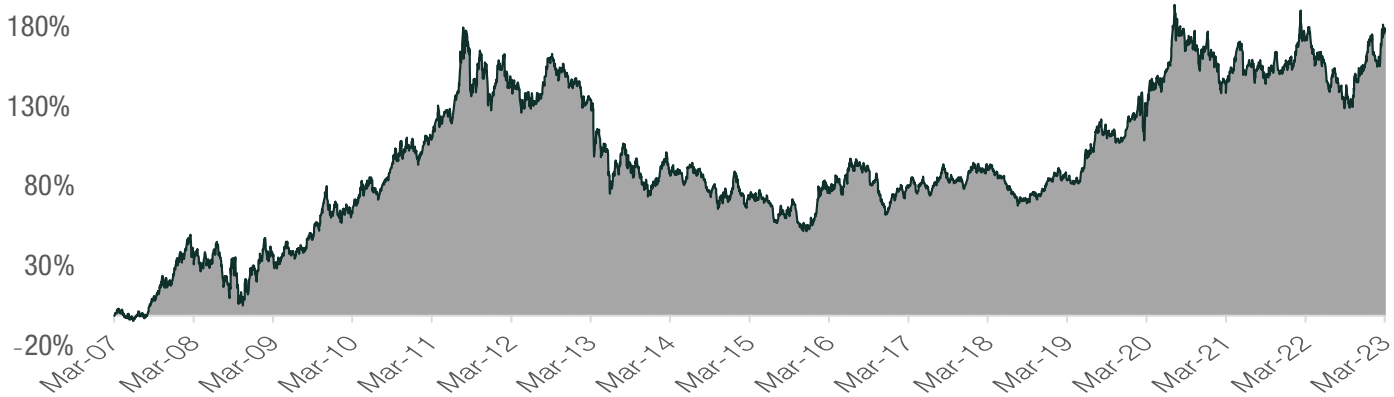
The instrument is designed to offer a cost-efficient way for participants to gain exposure to the gold market. Product performance tracks movements in the gold spot price (net of applicable fees).

Investment Rationale

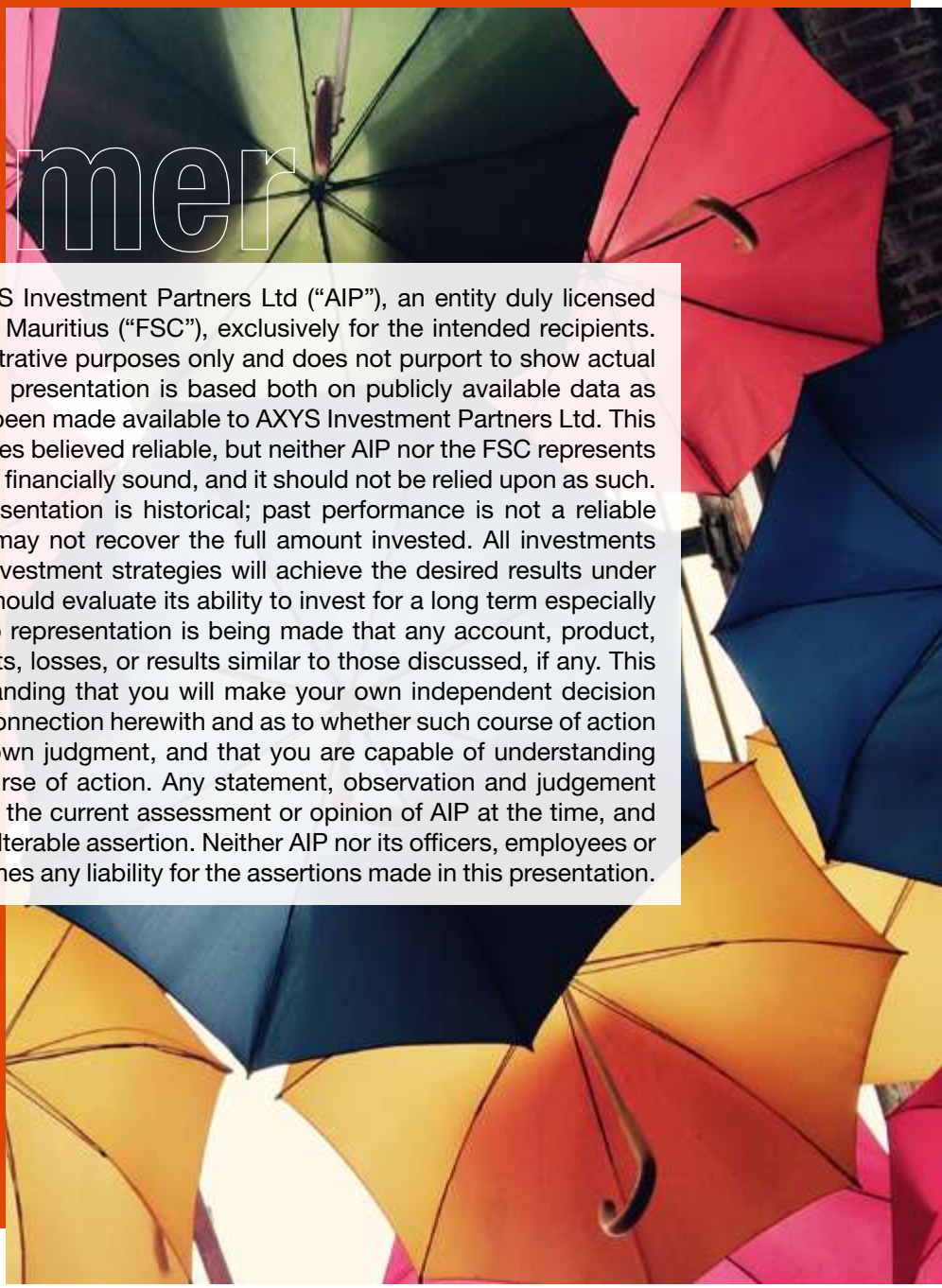
After the record highs it reached in 2020, Gold has been one of the best performing assets over Q1'22. With the current state of global uncertainty in the wake of the Russia-Ukraine conflict, the price of gold recently rose as high as USD 2,070 per ounce (a test of its previous all-time high) before settling at USD 1,937 at quarter end. The price for the yellow commodity rallied hard as investors sought protection. The current uncertainty is so prevalent that even as real yields go higher, investors still prefer to opt for gold. The metal also remains an effective tool for investment diversification and an attractive hedge against inflation.

Performance	
1 Month	7.92%
3 Months	8.01%
Year-to-Date	8.01%
1 Year	1.42%
Return since inception	306.07%
Annualised return since inception	7.94%

Cumulative Performance



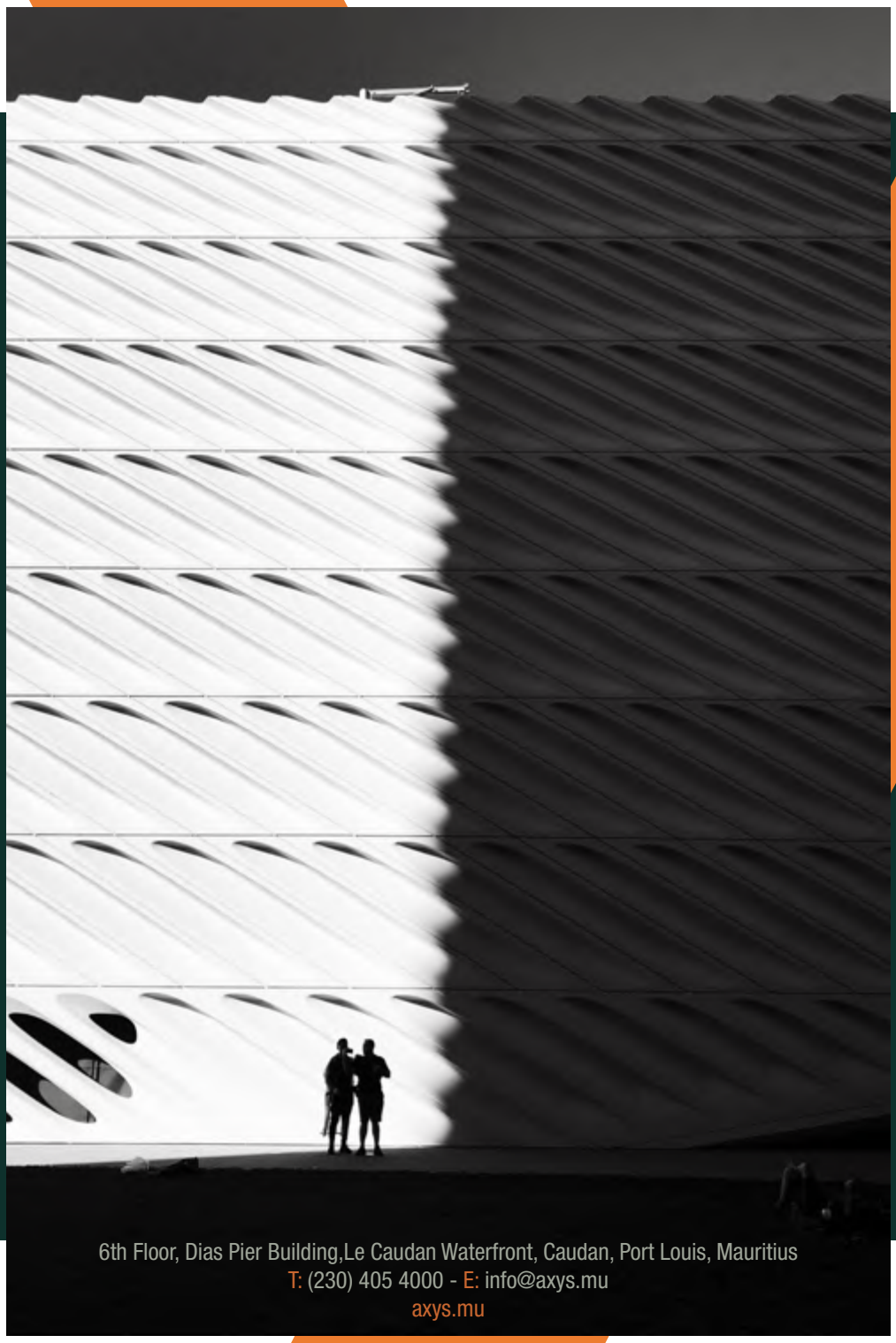
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